Korea Investment & Securities Co., Ltd.

Company In-depth

Shipbuilding

May 9, 2025

HD Hyundai Marine Solution (443060)

Standout

Initiate coverage with TP KRW240,000

We initiate our coverage of HD Hyundai Marine Solution (HD HMS) with BUY and the TP of KRW240,000. We used a PE multiple approach to capture the company's NP growth potential in our EV estimate. The fair EV is derived by applying a 35.4x target PE to 2025F NP of KRW300.9bn. The target PE reflects a 30% premium to the 2025F PE average of 27.2x for three peers—Wartsila, Alfa Laval and Kongsberg—given HD HMS is forecast to grow at a CAGR +27.2%, more than twice the pace of its peers.

Investment points: Easing overhang, rising retrofit demand and dividend appeal

There are three investment points. First, liquidity is anticipated to increase as overhang risks subdue. The overhang from 8,750,000 shares held by the second-biggest shareholder is likely to ease gradually. A temporary retreat due to overhang pressure may provide a BUY opportunity. In addition, the company's inclusion in Korea's major stock indices is expected to attract increased buying demand from both domestic and international funds tracking these benchmarks. Second, demand for ship retrofitting is set to rise structurally, with a potential acceleration around 2028, when the amended MARPOL Annex VI comes into effect. Third, HMS's strong NP will underpin its shareholder return policy, supporting stable share performance and an attractive dividend yield.

	2023A	2024A	2025F	2026F	2027F
Sales (KRW bn)	1,430	1,745	2,151	2,328	2,567
OP (KRW bn)	201	272	384	472	580
EBT (KRW bn)	201	297	401	503	625
NP (KRW bn)	151	228	301	377	469
EBITDA (KRW bn)	212	284	397	486	595
Net debt (KRW bn)	50	(461)	(570)	(616)	(678)
OPM (%)	14.1	15.6	17.9	20.3	22.6
ROE (%)	71.6	45.0	36.5	40.4	43.7
Dividend yield (%)	NM	2.0	2.9	3.7	4.6
EPS (KRW)	3,778	5,304	6,712	8,417	10,456
chg. % yoy)	44.0	40.4	26.5	25.4	24.2
BPS (KRW)	5,999	17,255	19,486	22,221	25,595
DPS (KRW)	2,500	3,150	4,700	5,900	7,300
PE (x)	NM	30.4	23.8	19.0	15.3
PB (x)	NM	9.4	8.2	7.2	6.2
EV/EBITDA (x)	NM	23.7	16.6	13.5	10.9

Note: Net profit and EPS are based on figures attributed to controlling interest

12M rating **BUY (Initiate)**

12M TP **W240,000**

Up/Downside **+50%**

Stock data

KOSPI (May 7, pt)	2,574
Stock price (May 7, KRW)	159,600
Market cap (USD mn)	5,118
Shares outstanding (mn)	45
52-Week high/low (KRW)	205,500/100,100
6M avg. daily turnover (USD mn)	18.9
Free float / Foreign ownership (%)	21.5/28.8
Major shareholders (%)	
HD Hyundai Co. Ltd., and 3 others	55.3
Global Vessel Solutions, L.P.	19.5

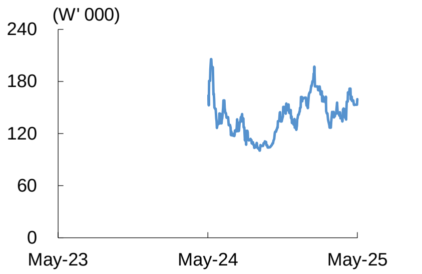
EPS revision (KIS estimates, KRW)

	Previous	Revised	(%)
2025F		6,712	-
2026F		8,417	-
2027F		10,456	-

Performance

	1M	6M	12M
Absolute (%)	15.6	5.9	NM
Relative to KOSPI (%p)	5.0	5.5	NM

Stock price



Source: FnGuide

Kyungtae Kang

kyungtae.kang@koreainvestment.com

Contents

I. Summary & valuation 2

1. Executive summary
2. Valuation

II. Earnings outlook 6

1. Business structure
2. AM solutions: Focus on marine engines
3. Bunkering: Sourcing and selling fuel
4. Eco-friendly solution: Ship retrofitting based on orders
5. Digital solution: Integrated control service

III. Investment point 20

1. Overhang to disappear, transactions to flow
2. Retrofit demand for CO2 emission reduction increasing
3. Strong profit-making capability, leading to larger resources for shareholder returns

Appendix. Peer study 26

What is the report about?

- Value HD Hyundai Marine Solution's business model via comparisons with peers
- Study divisional business structure, earnings estimate and short- to long-term investment points
- Initiate coverage with BUY and the TP of KRW240,000

I. Summary & valuation

1. Executive summary

Initiate coverage with BUY and TP of KRW240,000

We initiate our coverage of HD HMS with BUY and the TP of KRW240,000. The TP was derived by dividing the fair enterprise value (EV) of KRW10.65tn by 44,829,210 shares outstanding. The fair EV was calculated by applying a 35.4x target PE to 2025F NP of KRW300.9bn. The target PE reflects a 30% premium to the 2025F PE average of 27.2x for three peers—Wartsila, Alfa Laval and Kongsberg—given HD HMS is forecast to grow at a CAGR +27.2%, more than twice the pace of its peers.

A 30% premium to the peers' average PE as NP growth is double peers'

The 30% premium is based on the NP growth gap with peers. HD HMS' NP is pegged to exhibit a CAGR of 27.2% until end-2027, more than double that of peers (14.2%). Currently, HD HMS' share price trades at 23.8x 2025F NP. The multiple drops to 15.3x based on the 2027F NP. Even with a 30% premium, valuation seems appealing given robust NP growth.

Focus on core operations

A focus must be on core operations. HD HMS engages in four business areas. By revenue mix (based on 2025F), the aftermarket (AM) solution division makes the biggest contribution (50%), followed by bunkering (35%) and eco-friendly solution (retrofit, 11%) and digital solution (4%). Ignoring bunkering that makes a 0.5% OP contribution, AM, eco-friendly retrofit and digital solution are considered core operations. Core operations make up 64.6% of overall revenue. And the AM business makes a 77.3% contribution, creating the biggest synergy with affiliates. Using engines from HD Hyundai Heavy Industries' (HD HHI) engine & machinery division, the AM operation standouts with strong potential for revenue and profitability.

Investment points: 1) Greater liquidity; 2) structural demand growth for eco-vessel retrofit; and 3) bigger shareholder-returns

There are three investment points. First, liquidity is anticipated to increase as overhang risks subdue. The overhang from 8,750,000 shares held by the second-biggest shareholder is likely to ease gradually. A temporary retreat due to overhang pressure may provide a BUY opportunity. In addition, the company's inclusion in Korea's major stock indices is expected to attract increased buying demand from both domestic and international funds tracking these benchmarks. Second, demand for ship retrofitting is set to rise structurally, with a potential acceleration around 2028, when the amended MARPOL Annex VI comes into effect. Third, HMS's strong NP will underpin its shareholder return policy, supporting stable share performance and an attractive dividend yield.

2. Valuation

Valuing using peers' PE

We derived a fair EV using PE multiples of global peers. PE was used to reflect MDS' superior earnings power. For shipbuilders, earnings are estimated based on the secured orders backlog. However, MDS' core profits are not linked to the backlog. As such, we applied a target PE to the 2025F NP (the nearest future).

BUY with TP of KRW240,000

The fair EV is estimated at KRW10.65tn (35.4x target PE applied to 2025F NP of KRW300.9bn). The target PE is based on a 30% premium to the 2025 average PE (27.2x) of three peers (based on the Bloomberg consensus). And we divided the fair EV by 44,829,210 shares outstanding to arrive at the TP KRW240,000. Given a significant upside (50.4%) as of May 7 close, we present BUY call.

Premium to peers' avg: 1) Core NPM is more than double peers'

The 30% premium to peers' average PE is supported by two key factors. First, the NPM from core operations is more than double that of peers. Ignoring bunkering revenue, core operations' 2025 NPM is pegged at 21.6%, 2.1 times peer average (10.4x). Unlike its peers, HMS operates with minimal fixed costs due to the absence of tangible assets while incurring no interest expenses as it remains debt-free—factors that continue to underpin its competitive advantage.

2. Strong NP growth

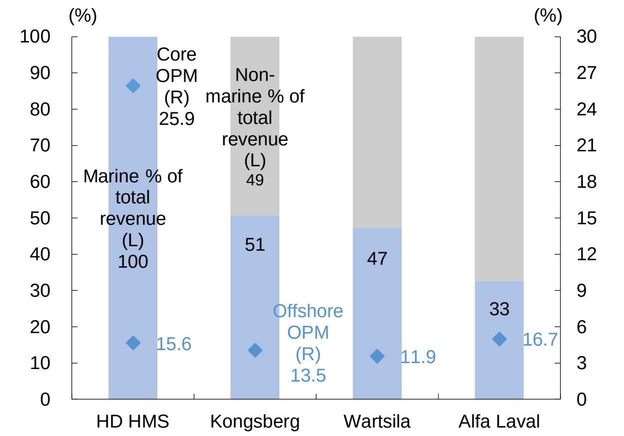
Second, in absolute terms, NP is also expected to grow rapidly. We estimate HD HMS' controlling-interest NP CAGR at 27.2% during 2025-2027. This means NP will grow at a much faster pace compared to revenue (with a CAGR of 13.7% over the same period). This acceleration is driven by the weight of services for dual-fuel (D/F) engines, which have 1.5 times higher AM service price compared to diesel engines, rising into the 20% range.

Table 1. TP of KRW240,000

			Unit	Value	Note
2026F NP	ⓐ		KRW bn	301	52-week weighted
Target PE	ⓑ	Bloomberg	X	27.2	Five peers' 2026F PE average
Discount or premium	ⓒ	Peer study	%	30.0	
Target PE	ⓓ			35.4	
EV	ⓔ	ⓓ=ⓐxⓓ	KRW bn	10,653	
Outstanding shares	ⓕ	ⓕ=ⓖxⓗ	'000 shares	44,829	
No. of shares issued	ⓖ	Annual report		44,829	
Treasury shares	ⓗ	Annual report		-	
TP	ⓘ	ⓘ=ⓔ/ⓕ	KRW/share	240,000	
Current price	ⓙ		KRW/share	159,600	May 7 close
Upside	ⓚ	ⓚ=(ⓘ/ⓙ)-1	%	50.4	

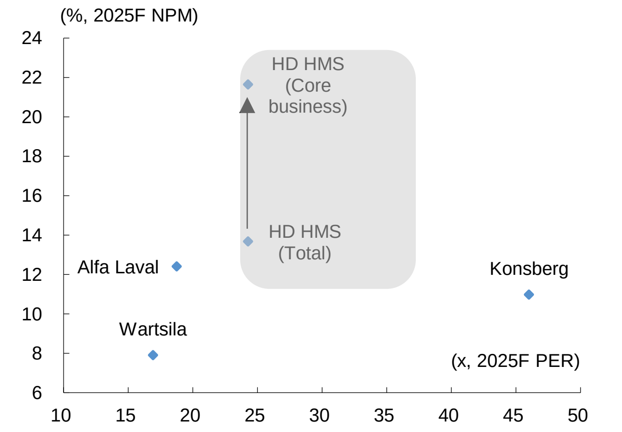
Note: Controlling-int. NP
Source: Prospectus, Bloomberg, Korea Investment & Securities

Figure 1. Revenue breakdown and marine OPM (vs. peers)



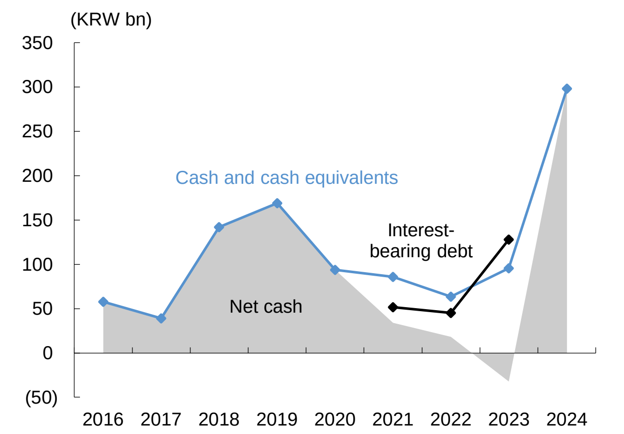
Note: Based on 2024 results
Source: Bloomberg, DART, Company data, Korea Investment & Securities

Figure 2. NPM and PE (vs. peers)



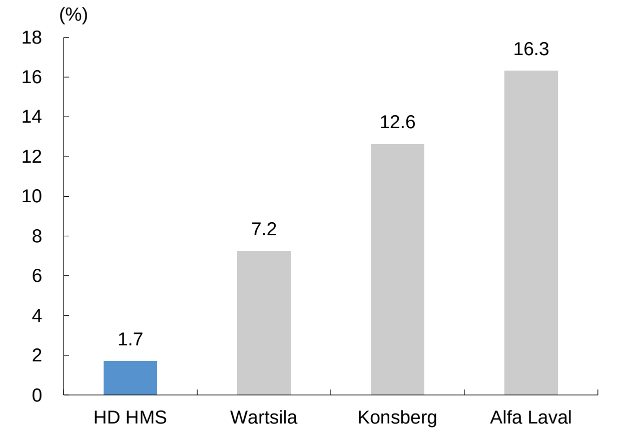
Note: As of May 2
Source: Bloomberg, DART, Company data, Korea Investment & Securities

Figure 3. Cash & cash equivalent assets and interest-bearing debt



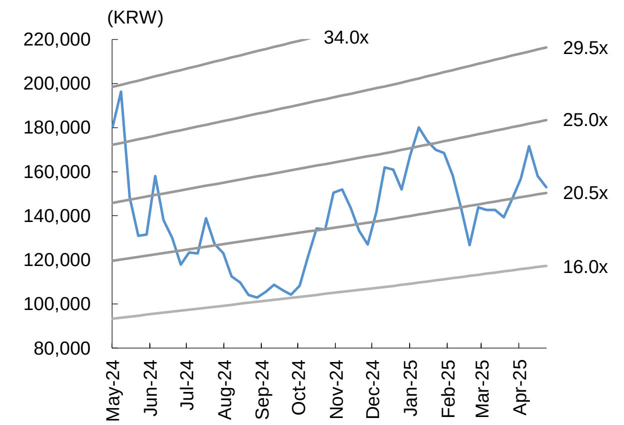
Note: Interest-bearing debt is the sum of short-term borrowings, long-term borrowings and outstanding bonds.
Source: DART, Korea Investment & Securities

Figure 4. Tangible assets % of total assets



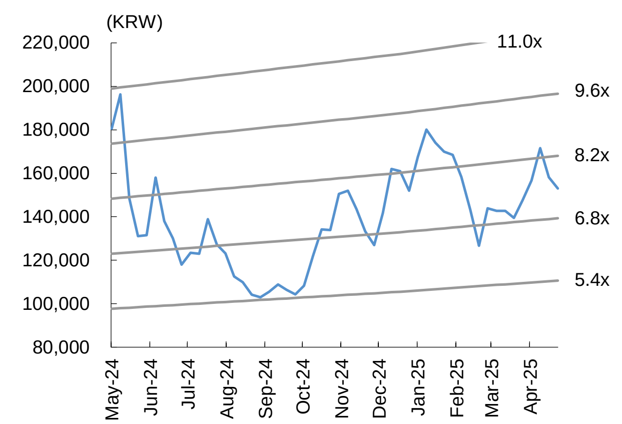
Note: Based on the balance sheet at end- 2024
Source: Bloomberg, Korea Investment & Securities

Figure 5. 12MF PE band



Note: May 8, 2024-May 2, 2025
Source: Bloomberg, Korea Investment & Securities

Figure 6. 12MF PB band



Note: May 8, 2024-May 2, 2025
Source: Quantiwise, Korea Investment & Securities

Table 2. MRO peer valuation

Company		Wärtsilä Corporation (WRT1V FH)	Alfa Laval **(ALFA SS)**	Kongsberg Gruppen (KOG NO)	HD Hyundai Marine Solution (443060 KS)
Share price (local currency)		16.3	400.1	1,668.0	153,000
Market cap KRW bn)		15,569	24,391	40,205	6,859
PER	2024A	20.1	25.9	43.9	30.4
(x)	2025F	16.9	18.8	46.0	24.3
	2026F	15.5	17.9	38.4	19.7
	2027F	14.5	13.1	32.8	17.1
PBR	2024A	4.0	4.6	12.1	9.4
(x)	2025F	3.4	3.5	13.6	8.0
	2026F	3.1	3.2	11.6	6.6
	2027F	2.8	2.9	9.8	6.0
ROE	2024A	21.2	18.7	29.6	45.0
(%)	2025F	21.0	19.7	31.4	35.1
	2026F	20.6	18.5	32.4	36.9
	2027F	19.8	17.4	31.9	37.8
Revenue growth	2024A	7.2	5.3	20.3	22.0
(% yoy)	2025F	11.5	6.2	18.8	17.3
	2026F	5.4	3.5	14.4	17.5
	2027F	4.5	3.7	12.8	8.7
OP growth	2024A	79.1	13.0	41.5	34.9
(% yoy)	2025F	11.0	15.9	21.2	28.1
	2026F	8.7	5.2	19.6	25.6
	2027F	6.9	3.6	16.7	15.6
OPM	2024A	10.9	15.5	13.3	15.6
(%)	2025F	10.9	17.0	13.6	17.0
	2026F	11.2	17.2	14.2	18.2
	2027F	11.5	17.2	14.7	19.3
NP growth	2024A	95.0	16.8	38.1	50.8
(% yoy)	2025F	13.1	19.4	24.4	22.9
	2026F	8.9	5.1	19.9	23.5
	2027F	5.9	36.2	17.0	14.8
NPM	2024A	7.8	11.0	10.5	13.1
(%)	2025F	7.9	12.4	11.0	13.7
	2026F	8.2	12.6	11.5	14.4
	2027F	8.3	16.6	11.9	15.2

Note: May 1 close
Source: Bloomberg, Korea Investment & Securities

Table 3. Financial summary

(KRW bn, %)

	2016	2017	2018	2019	2020	2021	2022	2023	2024
Total assets	144.8	209.1	370.8	595.6	463.9	418.6	519.8	656.6	1,152.2
Current assets	142.9	203.6	359.5	569.3	428.3	384.8	453.2	597.3	1,075.5
Non-current assets	1.9	5.5	11.4	26.2	35.6	33.7	66.6	59.4	76.7
Total liabilities	19.5	43.2	152.2	287.4	209.6	263.7	337.6	416.7	378.7
Current liabilities	18.9	43.0	151.8	283.9	200.6	221.8	313.6	387.8	342.6
Short-term borrowings						21.9	45.4	128.0	0.0
Other						200.0	268.3	259.8	342.6
Non-current liabilities	0.6	0.2	0.4	3.4	9.0	41.8	24.0	28.9	36.1
Total shareholders' equity	125.3	165.9	218.7	308.2	254.3	154.9	182.2	240.0	773.5
Controlling interest	125.3	165.9	218.7	308.2	254.3	154.9	182.2	240.0	773.5
Financial ratios									
D/E ratio	15.6	26.1	69.6	93.2	82.4	170.3	185.3	173.6	49.0
Net borrowings	(57.7)	(39.1)	(142.2)	(168.9)	(93.7)	(64.1)	(18.2)	32.3	(298.5)

Source: DART, Korea Investment & Securities

II. Earnings outlook

1. Business structure

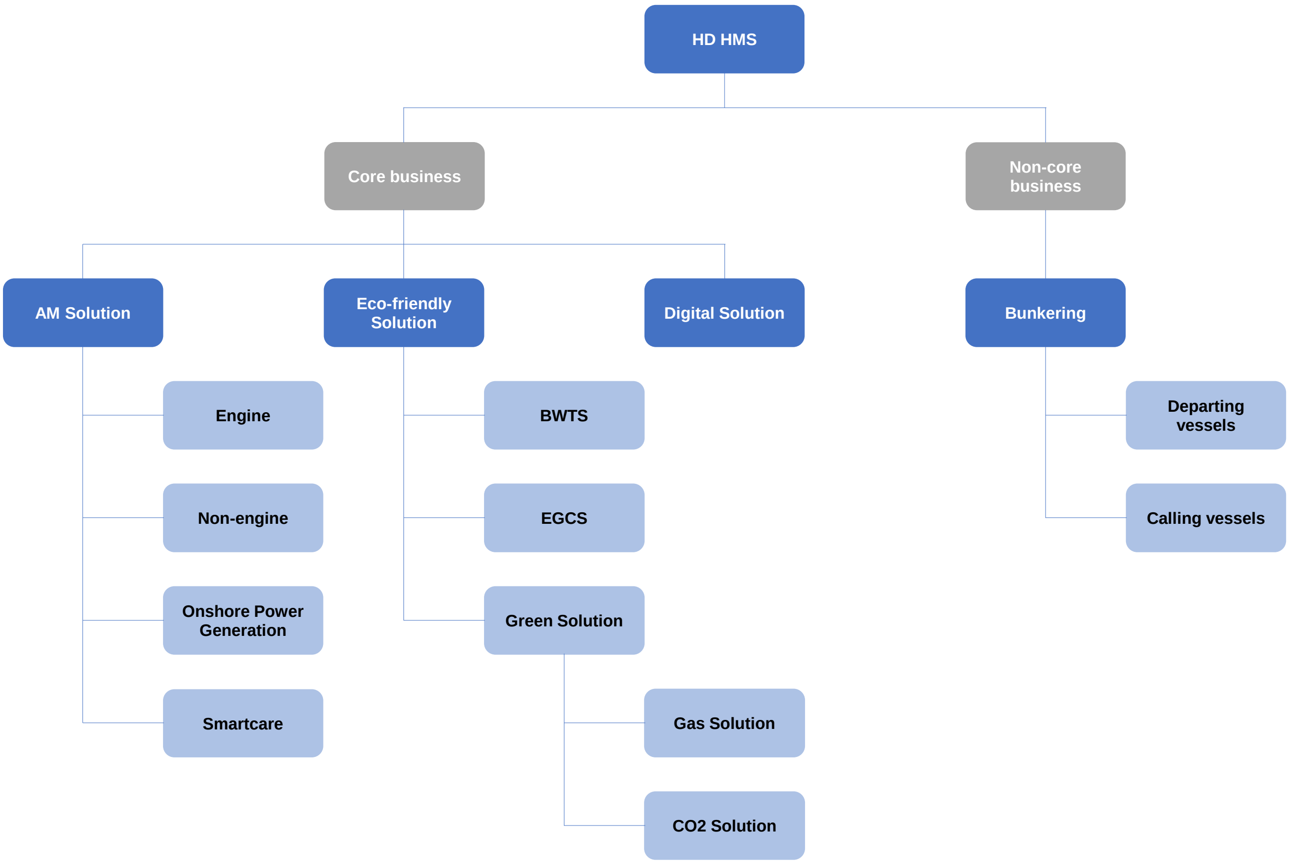
Focus on core among four segments

Focusing on the core businesses is critical. HD HMS operates across four business segments, which are AM solutions (50%), bunkering (35%), eco-friendly solutions (retrofit, 11%) and digital solutions (software-defined vessel or SDV, 4%) in the order of 2025F revenue contribution (numbers in brackets). The issue is that although the bunkering division accounts for 35% of revenue, its contribution to OP is only 0.5%. Thus, HD HMS classifies the bunkering segment as a non-core business, while grouping AM, eco-friendly and digital solutions together as its core business.

The core of the core: AM solutions

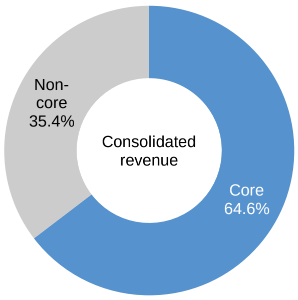
At the heart of the core business lies the AM solutions segment. We estimate HD HMS' 2025F consolidated revenue at KRW2.15tn (+23.2% yoy) and OP at KRW384.4bn (+41.5% yoy, OPM +17.9%). The core business accounts for 64.6% of total revenue, with AM solutions alone generating 77.3% of that core business revenue. The AM solutions segment delivers the greatest synergy within the group. On the back of the engines delivered by HD HHI's engine machinery division, the AM solutions segment ensures both long-term top-line growth and strong profitability, making it the true centerpiece of the company's core business.

Figure 7. Business structure



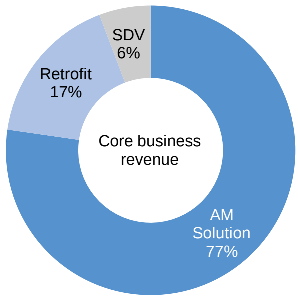
Note: As of May 2, 2025
Source: Company data, Korea Investment & Securities

Figure 8. Core business accounts for 61% of total revenue



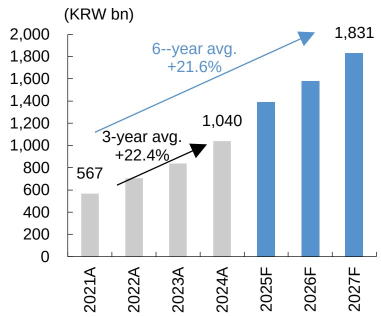
Note: Based on consolidated estimates for 2025
Source: Korea Investment & Securities

Figure 9. Core business revenue breakdown: AM solution accounts for 77%



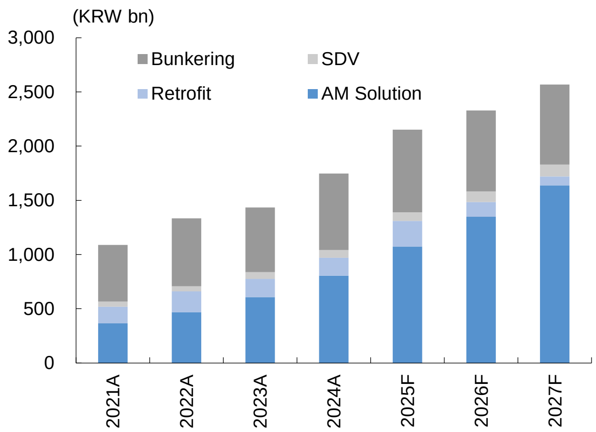
Note: Based on consolidated estimates for 2025
Source: Korea Investment & Securities

Figure 10. Core business revenue CAGR is projected at over 20%



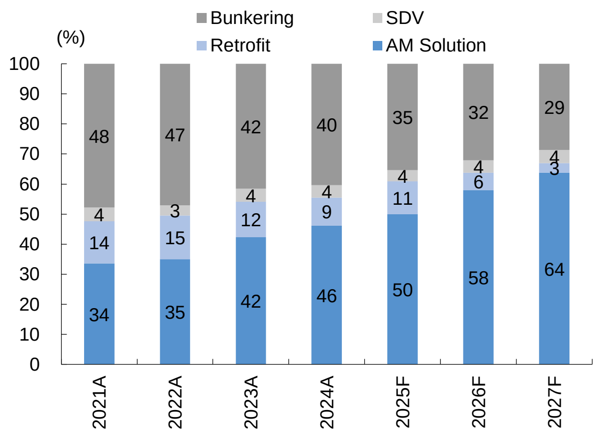
Note: Consolidated
Source: Company data, Korea Investment & Securities

Figure 11. Revenue breakdown by division



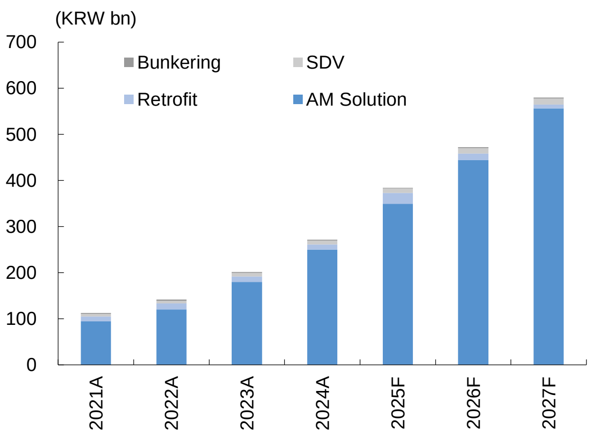
Note: Consolidated
Source: Company data, Korea Investment & Securities

Figure 12. Revenue share by division



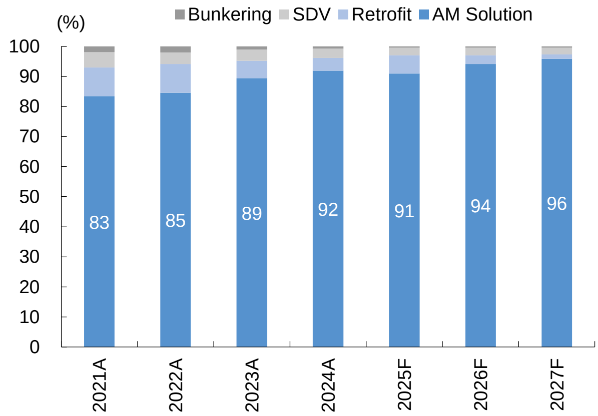
Note: Consolidated
Source: Company data, Korea Investment & Securities

Figure 13. OP breakdown by division



Note: Consolidated
Source: Company data, Korea Investment & Securities

Figure 14. OP share by division



Note: Consolidated
Source: Company data, Korea Investment & Securities

Table 4. Quarterly earnings (KRW bn, % yoy, % qoq, %)

	1Q25P	2Q25F	3Q25F	4Q25F	1Q26F	2Q26F	3Q26F	4Q26F	2023A	2024A	2025F	2026F
Revenue	**486**	**534**	**565**	**567**	**567**	**589**	**580**	**592**	**1,430**	**1,745**	**2,151**	**2,328**
Core business	294	341	378	377	375	402	396	409	838	1,040	1,390	1,582
AM solution	216	273	284	302	310	324	350	364	607	806	1,075	1,348
Engine	157	195	199	213	214	223	241	251	396	532	764	928
Non-engine	28	32	35	36	37	38	41	43	92	116	134	159
Land power generation	9	22	23	24	29	31	33	34	52	70	90	127
Smartcare (warranty)	22	25	27	28	31	32	35	36	67	87	103	133
Eco-friendly solution (retrofit)	58	48	74	55	41	55	21	21	169	164	236	137
BWTS	0	0	0	0	0	0	0	0	0	0	0	0
EGCS	0	0	0	0	0	0	0	0	0	0	0	0
Green solution	34	48	74	55	41	55	21	21	0	0	212	137
Gas solution	34	48	14	28	14	28	0	0	0	0	124	42
CO2 solution	0	0	60	27	27	27	21	21	0	0	87	95
Digital solution (SDV)	20	20	20	20	24	24	24	24	62	71	80	97
Non-core business	191	193	187	190	192	187	184	184	596	706	761	746
Bunkering	191	193	187	190	192	187	184	184	596	706	761	746
OP	**83**	**95**	**101**	**105**	**110**	**116**	**121**	**126**	**201**	**272**	**384**	**472**
Core business	83	95	101	104	109	115	121	125	199	270	383	470
AM solution	75	87	91	96	102	107	116	120	180	250	349	445
Eco-friendly solution (Retrofit)	6	5	7	6	4	5	2	2	12	11	24	14
Digital solution (SDV)	2	2	2	2	3	3	3	3	7	8	10	12
Non-core business	0	1	1	1	1	1	1	1	2	2	2	2
Bunkering	0	1	1	1	1	1	1	1	2	2	2	2
EBT	84	100	106	111	116	123	129	134	201	297	401	503
Controlling-int. NP	63	75	80	83	87	92	97	101	151	228	301	377
Growth (% yoy)												
Revenue	26.8	21.9	22.5	22.3	16.8	10.3	2.6	4.5	7.2	22.0	23.2	8.2
Core business	35.6	31.1	34.9	33.3	27.6	17.9	4.7	8.4	18.6	24.1	33.7	13.8
AM solution	27.6	32.6	29.4	42.7	43.5	18.4	23.6	20.7	30.0	32.7	33.3	25.4
Eco-friendly solution (retrofit)	92.4	38.5	69.4	1.0	(29.2)	13.9	(71.9)	(62.9)	(13.2)	(3.0)	44.2	(41.8)
Digital solution (SDV)	13.8	2.6	17.0	19.8	22.1	20.9	20.9	20.9	37.3	13.5	13.2	20.9
Non-core business	15.2	8.5	3.2	5.1	0.2	(3.1)	(1.5)	(3.3)	(5.1)	18.5	7.8	(1.9)
Bunkering	15.2	8.5	3.2	5.1	0.2	(3.1)	(1.5)	(3.3)	(5.1)	18.5	7.8	(1.9)
OP	61.2	34.1	21.3	59.4	32.4	21.5	19.8	19.6	41.9	34.9	41.5	22.9
Core business	62.6	34.2	21.3	59.9	31.8	21.6	19.9	19.8	43.2	35.4	41.8	22.9
Non-core business	(92.0)	21.5	19.3	2.9	1,515.8	(3.1)	(1.5)	(3.3)	(22.5)	(11.1)	(10.3)	28.4
Growth (% qoq)												
Revenue	4.8	10.0	5.8	0.3	0.1	3.9	(1.6)	2.1				
Core business	4.0	16.0	10.7	(0.3)	(0.4)	7.1	(1.7)	3.3				
AM solution	2.3	26.5	3.8	6.3	2.8	4.3	8.3	3.8				
Eco-friendly solution (retrofit)	6.4	(17.8)	54.9	(25.4)	(25.5)	32.3	(61.8)	(1.4)				
Digital solution (SDV)	18.6	1.1	0.0	0.0	20.9	0.0	0.0	0.0				
Non-core business	6.0	0.7	(3.0)	1.5	1.0	(2.6)	(1.3)	(0.4)				
Bunkering	6.0	0.7	(3.0)	1.5	1.0	(2.6)	(1.3)	(0.4)				
OP	26.0	14.7	6.2	3.8	4.7	5.2	4.8	3.6				
Core business	27.0	14.1	6.3	3.8	4.7	5.3	4.8	3.7				
Non-core business	(93.6)	1,524.2	(3.0)	1.5	1.0	(2.6)	(1.3)	(0.4)				
Key metrics												
OPM	17.1	17.8	17.9	18.5	19.4	19.6	20.9	21.2	14.1	15.6	17.9	20.3
Core business	28.2	27.7	26.6	27.7	29.1	28.6	30.5	30.6	23.8	25.9	27.5	29.7
Non-core business	0.0	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.4	0.3	0.2	0.3
AM solution	34.6	32.0	32.0	32.0	33.0	33.0	33.0	33.0	29.6	31.0	32.5	33.0
Eco-friendly solution (retrofit)	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	7.0	7.0	10.0	10.0
Digital solution (SDV)	12.0	12.0	12.0	12.0	12.0	12.0	12.0	12.0	12.0	12.0	12.0	12.0
Bunkering	0.0	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.4	0.3	0.2	0.3

Source: DART, Company data, Korea Investment & Securities

2. AM solutions: Focus on marine engines

AM solutions supplying marine equipment/parts

The AM solutions segment is engaged in supplying various equipment/parts for vessels in operation. Its customers are shipowners, and it primarily procures genuine parts for engines manufactured by HD HHI's engine machinery division to supply to these shipowners. In the two-stroke marine engine aftermarket, the main competitors capable of distributing genuine parts are engine licensors such as MAN E&S and WinGD. Shipowners ultimately choose HD HMS because of the comprehensive services and after-sales support provided alongside the parts. For four-stroke engines, HD HHI acts both as licensor and licensee, enabling HD HMS to secure a dominant share in the aftermarket. In addition, HD HHI's proprietary HiMSEN four-stroke engines are used not only for marine power generation but also for land-based power generation, meaning HD HMS' AM business also covers service for land-based power applications.

AM to achieve both P and Q growth in 2025

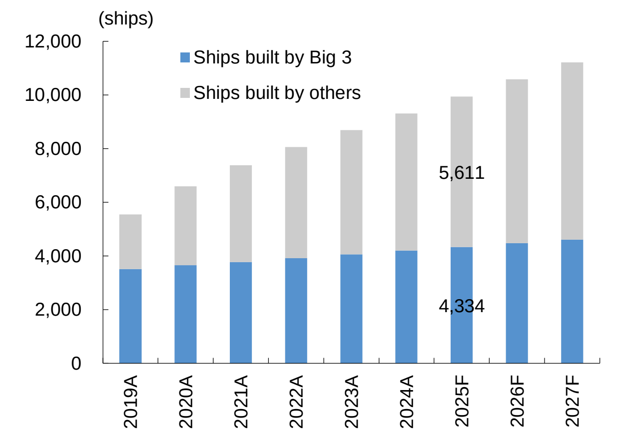
We estimate the AM solutions' 2025 revenue at KRW1.07tn (+33.3% yoy) and OP at KRW349.5bn (+39.9% yoy, OPM +32.5%). This marks a phase of simultaneous growth in both price (P) and volume (Q), driven mainly by engine-related earnings. In 2025, the number of newly serviced vessels in the aftermarket should increase by 633 ships, and the aftermarket service ASP per serviced vessel is projected to rise by 34.3% compared to 2024. We expect the ASP to rise, driven by increase in newly serviced vessels equipped with dual-fuel engines (+34.3% yoy). For non-engine, we arrive at the revenue estimates for land-based power generation and smartcare (warranty service) by applying the historical three-year moving average growth rate.

Table 5. AM revenue estimate

AM solution		Unit	2021A	2022A	2023A	2024A	2025F	2026F	2027F
Engine	Revenue	KRW bn	204	307	396	532	764	928	1,107
	Growth	% yoy		50.8%	28.8%	34.5%			
	Number of newly serviced vessels / AM ASP growth rate	% yoy					43.5%	21.6%	19.2%
	Number of newly serviced vessels	ships	779	680	631	621	633	633	633
	Cumulative number of serviced vessels	ships	7,380	8,060	8,691	9,312	9,945	10,579	11,212
	Growth	% yoy	11.8%	9.2%	7.8%	7.1%	6.8%	6.4%	6.0%
	AM ASP index	pt	100	122	155	197	265	302	340
	Growth	% yoy		22.0%	27.0%	27.1%	34.3%	14.3%	12.5%
	Number of delivered vessels with dual fuel engines	ships	58	111	130	165	222	253	285
	As % of newly service vessles	%	7.4%	16.3%	20.6%	26.6%	35.0%	40.0%	45.0%
	Growth	% yoy	65.7%	91.4%	17.1%	26.9%	34.3%	14.3%	12.5%
Non-engine	Revenue	KRW bn	76	80	92	116	134	159	191
	Growth	% yoy		5.3%	15.4%	26.0%			
	Three-year moving average growth rate	% yoy					15.2%	18.8%	19.9%
Land power generation	Revenue	KRW bn	34	32	52	70	90	127	171
	Growth	% yoy		(5.8%)	65.1%	34.3%			
	Three-year moving average growth rate	% yoy					27.8%	41.6%	34.5%
Smartcare	Revenue	KRW bn	52	48	67	87	103	133	168
	Growth	% yoy		(7.0%)	38.6%	30.1%			
	Three-year moving average growth rate	% yoy					18.8%	28.9%	25.8%

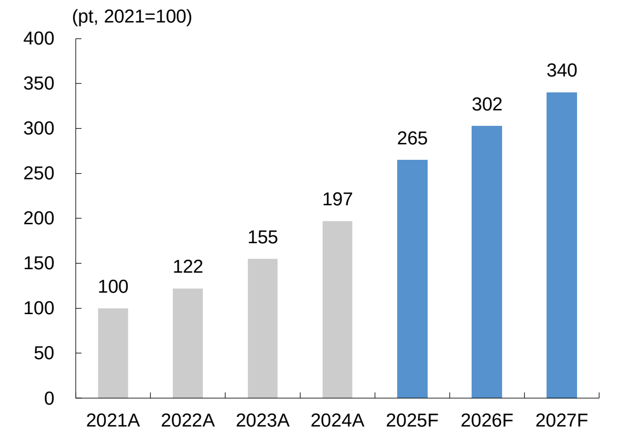
Source: Company data, Korea Investment & Securities

Figure 15. Cumulative no. of ships subject to AM services



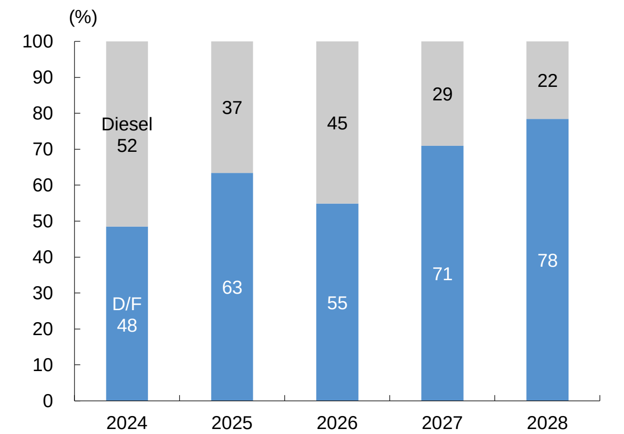
Note: Big 3 are HD Hyundai Heavy Industries, HD Hyundai Samho and HD Hyundai Mipo (incl. HD Hyundai Vietnam Shipbuilding)
Source: Company data, Korea Investment & Securities

Figure 16. AM service ASP



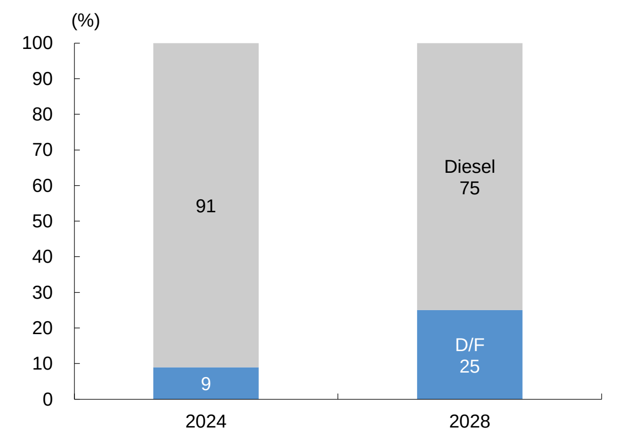
Source: Company data, Korea Investment & Securities

Figure 17. Propulsion engine mix for ships delivered by Big 3



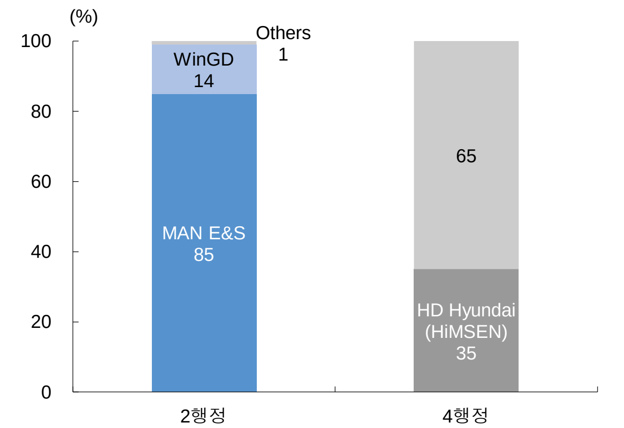
Note: Big 3 are HD Hyundai Heavy Industries, HD Hyundai Samho and HD Hyundai Mipo (incl. HD Hyundai Vietnam Shipbuilding)
Source: Clarksons Research, Korea Investment & Securities

Figure 18. Annual engine AM revenue mix by product



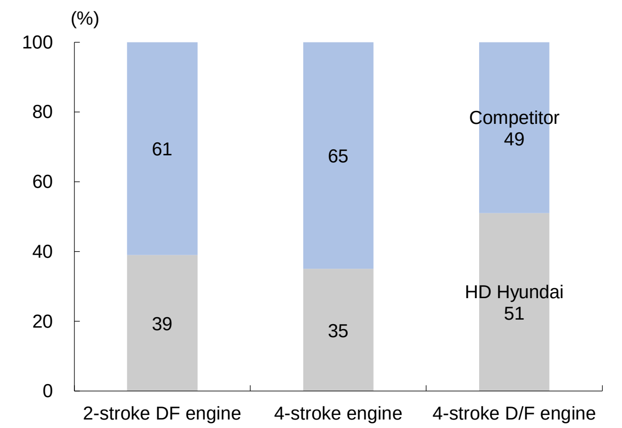
Source: Company data, Korea Investment & Securities

Figure 19. Engine market share by licensor



Source: Company data, Korea Investment & Securities

Figure 20. Engine market share by manufacturer



Note: HDHMD is the HiMSEN engine licensor and the engine maker
Source: Company data, Korea Investment & Securities

Table 6. Types of after service parts provided by HD HMS

Engine	Non-engine			
Parts	**Eco-friendly machinery**	**Fluid machinery**	**Electrical equipment**	**Others**
Exhaust valve spindle	Scrubber	COP	Generator	Boiler
Bearing (main bearing, connecting rod)	Fuel gas supply system (FGSS)	Thruster	AMS	Air compressor
Connecting rod bearing		COPT	Transformer	Crane
Fuel injection pump		Propeller	Motor	
Fuel injection valve			Switchboard	
Cylinder liner				
Cylinder head				
Piston				

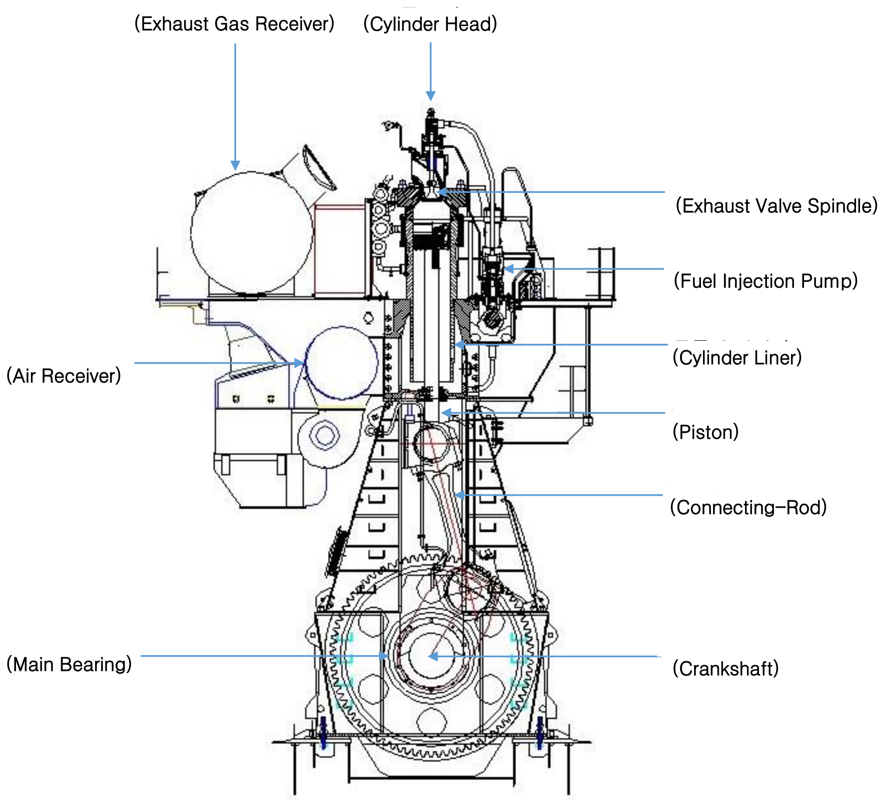
Source: Company data, Korea Investment & Securities

Table 7. Tie-ups with licensors that can provide MRO services using genuine parts

	Main engine (ME) parts				Generator engine (GE) parts		Automotive electronic parts		Common parts
	MAN E&S		WinGD		HD Hyundai Heavy Industries HiMSEN		HD Hyundai Electric		Fitting companies, etc.
	Direct	Indirect	Direct	Indirect	Direct	Indirect	Direct	Indirect	
Licensor					O		O		
Licensee	O			O					

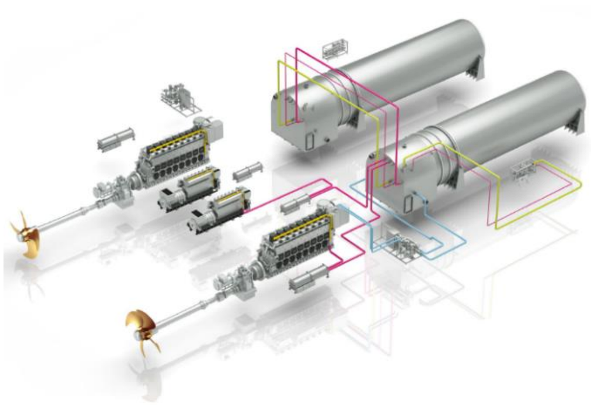
Source: DART, Korea Investment & Securities

Figure 21. Ship engine parts



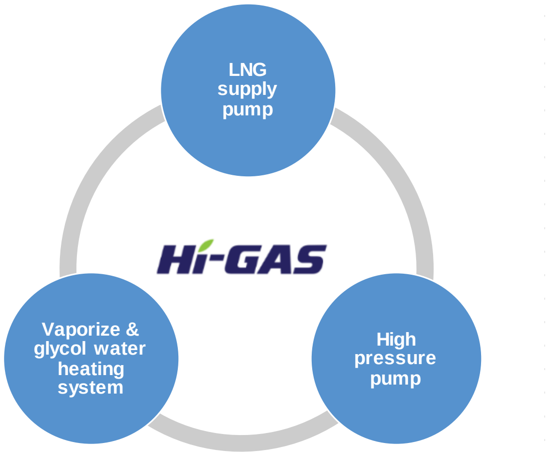
Note: Engine parts diagram from Samyoung Heavy Industries website
Source: Korea Investment & Securities

Figure 22. D/F engine FGSS structure



Source: Wartsila

Figure 23. HD Hyundai Heavy Industries engine & machinery FGSS brand



Source: HD Hyundai Heavy Industries engine & machinery division

Figure 24. Thruster

Source: Company data

Figure 25. Propeller

Source: Company data

Figure 26. Marine switchgear

Source: Company data

Figure 27. Marine distribution transformer

Source: Company data

Figure 28. Marine generator

Source: Company data

3. Bunkering: Sourcing and selling fuel

Bunkering involves refueling ships

Bunkering is a fuel supply business. HD HMS is engaged in refueling new ships built by the three shipyards under HD Korea Shipbuilding & Offshore Engineering (HD KSOE), namely HD Hyundai Heavy Industries, HD Hyundai Mipo and HD Hyundai Samho, when they conduct sea trials or set sail, as well as refueling ships already in operation when they call at ports in each region. The bunkering products supplied to departing and calling ships include heavy fuel oil (HFO) and diesel that are primarily sourced from HD Hyundai Oilbank and sold with a small markup. LNG bunkering is not authorized without separate approval as it falls under the jurisdiction of the Korea Gas Corporation.

Simple business of procuring and reselling refined products

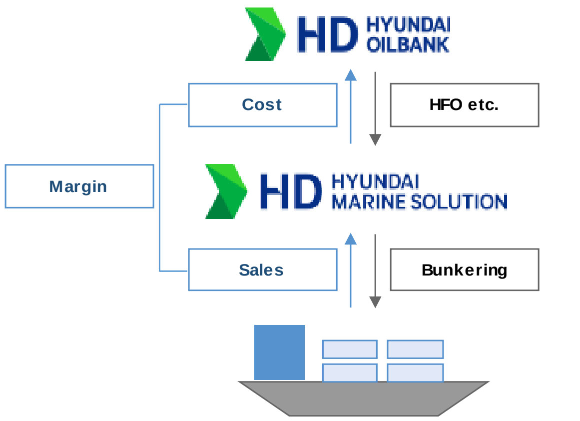
The bunkering division's 2025 revenue is estimated at KRW760.9bn (+7.8% yoy) and OP at KRW1.7bn (-10.3% yoy, OPM +0.2%). Ships calling at ports far outnumber new ships departing annually. As such, servicing calling ships is expected to generate 95.7% of revenue in 2025 with roughly 60% of total from providing services in Singapore, a logistics hub. As bunkering simply involves procuring and reselling refined products, it is hard to earn fat margins. Unless the scope of bunkering products is widened, bunkering will remain a non-core business.

Table 8. Bunkering revenue estimates

Bunkering type		Unit	2021A	2022A	2023A	2024A	2025F	2026F	2027F
Departing ship	New deliveries	ships	119	120	124	130	123	113	115
	HD Hyundai Heavy Industries	ships	44	37	40	44	46	35	52
	HD Hyundai Mipo	ships	45	53	51	55	46	45	28
	HD Hyundai Sambo	ships	30	30	33	31	31	33	35
	HSFO bunker sales volume	tonnes/ship	1,823	1,392	1,515	1,641	1,600	1,600	1,600
	HSFO bunker price	USD/tonne							
	Revenue	KRW bn	26	31	30	35	35	31	32
Calling ship	Korea	KRW bn	182	220	208	247	270	268	264
	Korea calling shipts	ships	117,872	127,426	130,413	126,700	124,343	126,000	126,000
	HSFO bunker sales volume	tonnes/ship	12	9	10	11	12	12	12
	HSFO bunker price	USD/tonne							
	Singapore	KRW bn	312	376	357	423	458	447	441
	HSFO bunker sales volume	'000 tonnes		4,664	5,572	6,718	6,560	6,560	6,560
	HSFO bunker price	USD/tonne	416	527	470	485	491	491	491
	Bunkering M/S	%		11.9%	10.3%	9.5%	10.0%	10.0%	10.0%
	Revenue	KRW bn	495	596	566	670	728	715	705
Revenue		KRW bn	521	627	596	706	761	746	736

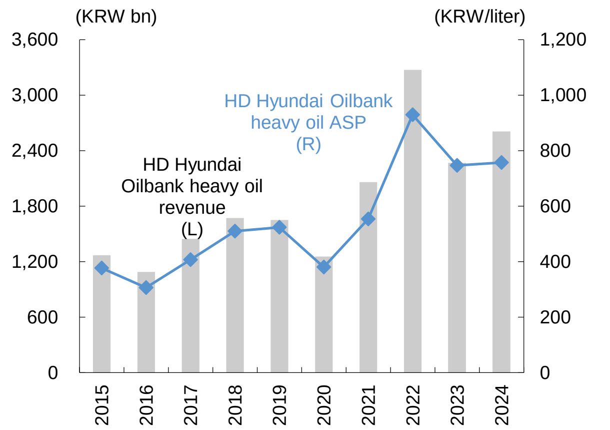
Source: Clarksons Research, Korea Investment & Securities

Figure 29. HFO bunkering business revenue structure



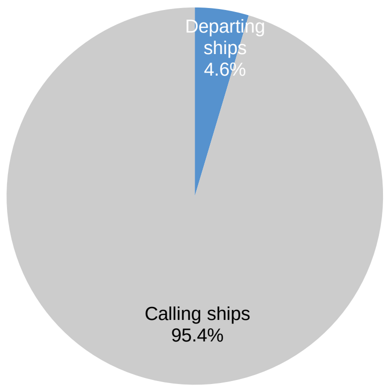
Source: Korea Investment & Securities

Figure 30. HD Hyundai Oilbank heavy oil revenue and ASP: Revenue hinges on P rather than Q



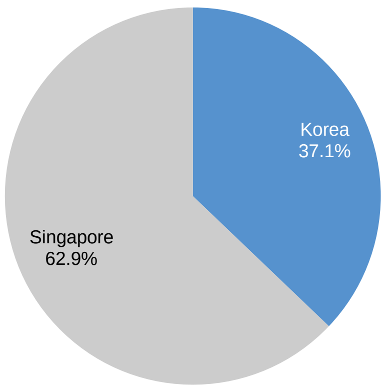
Note: From 2015 to 2024
Source: DART, company data, Korea Investment & Securities

Figure 31. Bunkering revenue mostly generated from servicing calling ships



Note: Based on 2025 bunkering revenue estimates
Source: Korea Investment & Securities

Figure 32. Servicing ships calling at the Port of Singapore makes up more than 60% of total revenue



Note: Based on 2025 calling ship bunkering revenue estimates
Source: Korea Investment & Securities

4. Eco-friendly solution: Ship retrofitting based on orders

Eco-friendly solution retrofits existing ships

The eco-friendly solution division involves retrofitting existing ships to meet marine environment standards. Marine environment encompasses both the seawater and the atmosphere. Retrofit demand usually appears when agreements adopted by the Marine Environment Protection Committee (MEPC) of the International Maritime Organization (IMO) come into effect. As the specifications resulting from the retrofitting of existing ships are incorporated into the basic specifications of new ships, a cycle is created in the ship retrofit market. This is why the markets for retrofitting ships with sulfur dioxide scrubbers and ballast water treatment systems (BWTS) are classified as the first generation. At present, HD HMS is focusing on demand for retrofitting ships to incorporate natural gas (liquefaction, vaporization) or reduce CO_2 emissions while its order-taking strategy remains the same.

Generates revenue from backlog

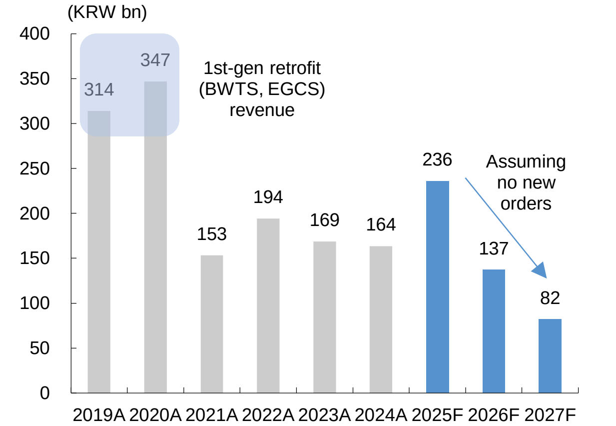
The eco-friendly solution division's 2025 revenue is estimated at KRW235.8bn (+44.2% YoY) and OP at KRW23.6bn (+106% yoy, OPM +10%). Unlike other operations, the eco-friendly solution division generates revenue from backlog accumulated through contracts with ship owners. We considered the end-2024 backlog worth USD125mn, the new engine part load optimization (EPLO) contract signed in 1Q25 valued at USD43mn and the project schedule to forecast earnings. Nine ships retrofitted with a reliquefaction system (total USD90bn, USD10mn per vessel) based on the end-2024 backlog will be delivered one by one through 1H26. The floating storage unit (FSU) retrofit project (USD27mn) will likely be completed and delivered by 1H25. For EPLO services, we assumed that the company will secure 30 new ships every quarter from 2Q25 given its full-year target of 150-160 ships and that the ships will be delivered within two quarters after taking order to estimate the revenue.

Table 9. Eco-friendly solution revenue estimates

Solution type			Unit	2021A	2022A	2023A	2024A	2025F	2026F	2027F
BWTS/EGCS			KRW bn					24		
Green solution	Gas solution	Reliquefaction	KRW bn					85	42	
		FSRU	KRW bn							
		FSU	KRW bn					39		
		Revenue	KRW bn					124	42	
	CO_2 solution	D/F conversion	KRW bn							
		AMP	KRW bn							
		ESD	KRW bn							
		Others (EPLO, etc.)	KRW bn					87	95	82
		Revenue	KRW bn					87	95	82
	Revenue		KRW bn					212	137	82
Revenue			KRW bn	153	194	169	164	236	137	82

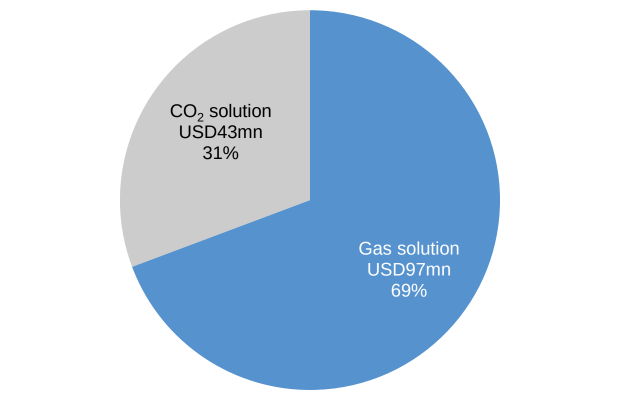
Source: Company data, Korea Investment & Securities

Figure 33. Annual eco-friendly solution revenue outlook



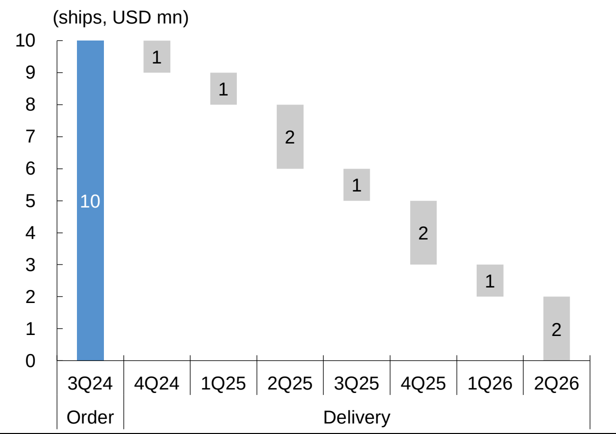
Source: Company data, DART, Korea Investment & Securities

Figure 34. Green solution backlog breakdown by service



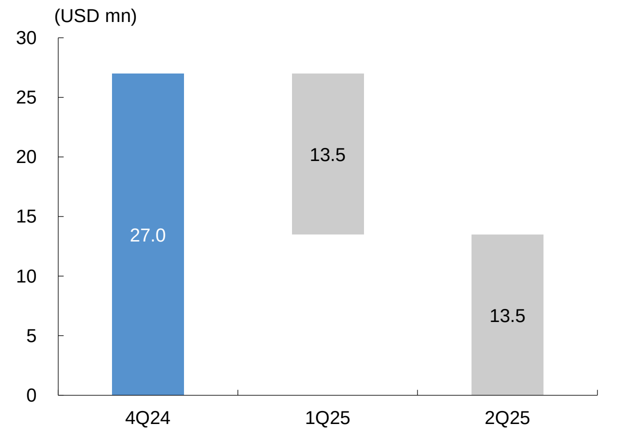
Note: As of end-1Q25
Source: Company data, Korea Investment & Securities

Figure 35. Delivery and revenue recognition schedule for reliquefaction retrofit ships



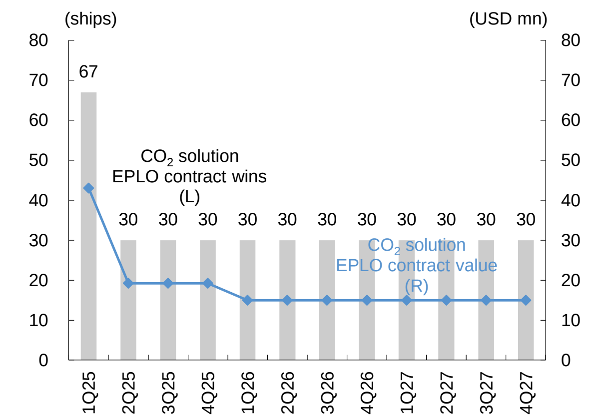
Note: Allocated on a quarterly basis according to schedule that all ships are delivered through 2Q26
Source: Company data, Korea Investment & Securities

Figure 36. Revenue recognition schedule for FSU retrofit ships



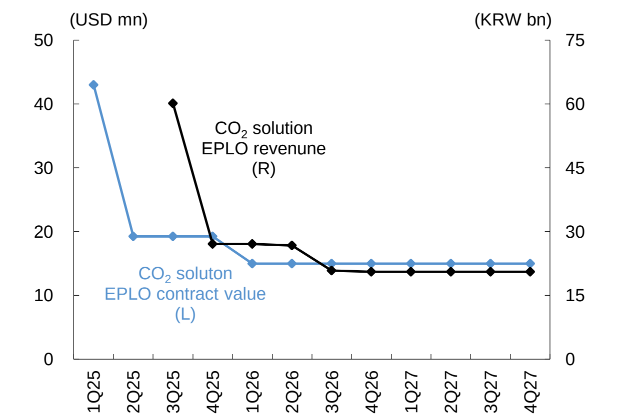
Note: Allocated on a quarterly basis according to schedule that projects are completed by 2Q25
Source: Company data, Korea Investment & Securities

Figure 37. New EPLO contract wins and value: Assuming 157 ships won in 2025 and 120 ships from 2026



Note: Assumed each contract is valued at USD500,000-600,000
Source: Company data, Korea Investment & Securities

Figure 38. EPLO contract value and revenue: Deliver ships within six months (two quarters) after taking order



Source: Company data, Korea Investment & Securities

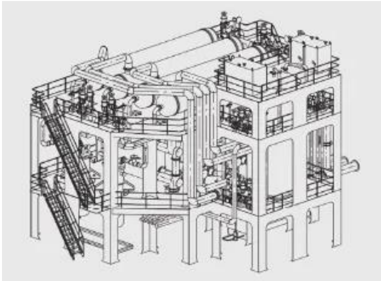
Figure 39. Products used in retrofit projects: Scrubber

Source: Company data

Figure 40. Products used in retrofit projects: Reliquefaction module

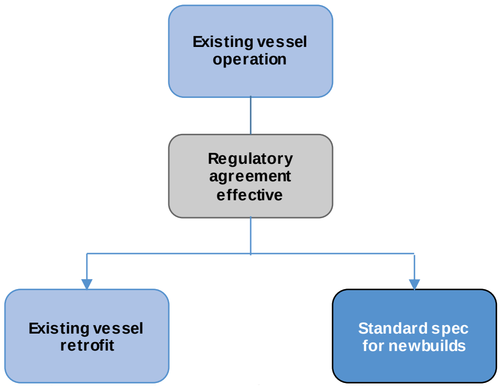
Note: Single mixed refrigerant (SMRt)
Source: Company data

Figure 41. Products used in retrofit projects: Regasification module



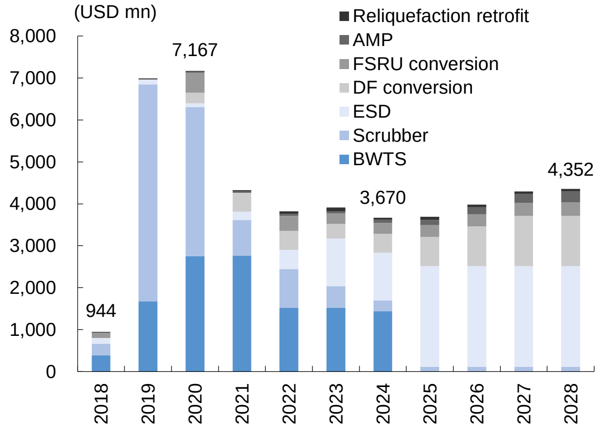
Note: 400 MMSCFD (module self-developed by HD HMS)
Source: Company data

Figure 42. Why there are cycles in the ship retrofit market



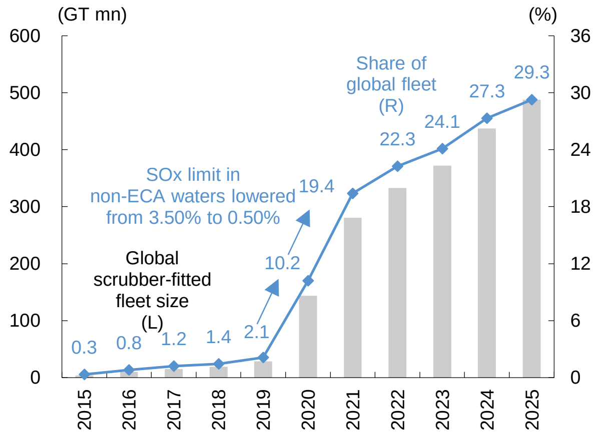
Source: Korea Investment & Securities

Figure 43. Global ship retrofit market outlook



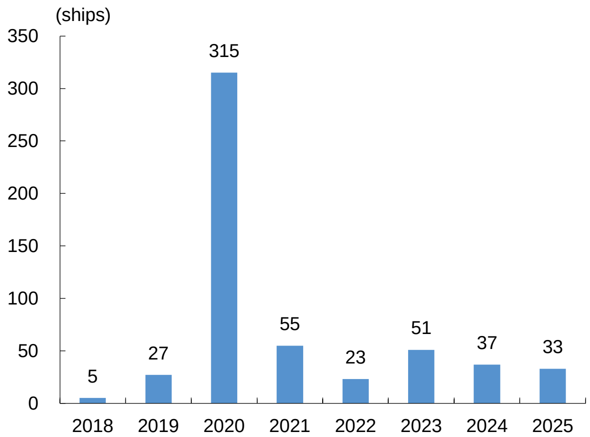
Note: Based on Infiniti Research report from registration statement
Source: DART, Korea Investment & Securities

Figure 44. Scrubber-retrofitted ships to climb up to 29% of total



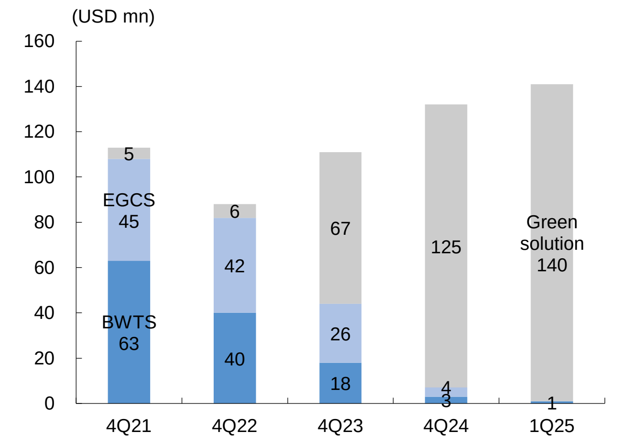
Note: As of May 2, 2025
Source: Clarksons Research, Korea Investment & Securities

Figure 45. No. of ships currently being retrofitted with scrubbers



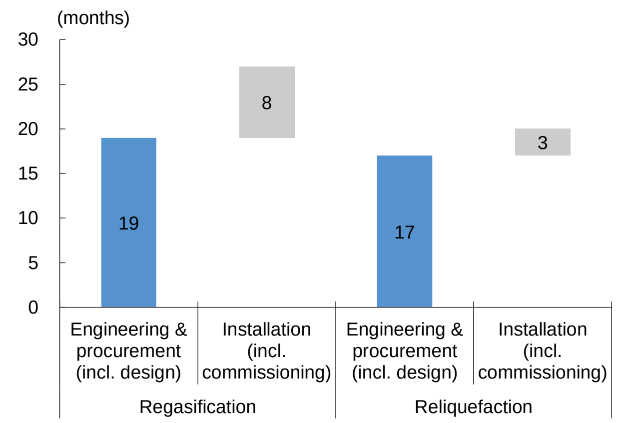
Note: As of May 2, 2025
Source: Clarksons Research, Korea Investment & Securities

Figure 46. Eco-friendly solution backlog breakdown



Note: Based on 1Q25 managerial performance presentation materials
Source: Company data, Korea Investment & Securities

Figure 47. Time needed to complete major gas solution projects



Note: Installation period indicates the time from the ship's arrival to departure
Source: Company data, Korea Investment & Securities

Table 10. LNG carrier retrofit service by process: Repair dock needed

Period (month)	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28
Regasification																													
Contract	V																												
Detailed design										→																			
Material manufacturing/ procurement																					→								
Pre-fab																					→								
Ship arrival																					V								
Installation																										→			
Pre-commissioning																												→	
Ship departure																													V
Reliquefaction																													
Contract	V																												
Detailed design					→																								
Material manufacturing/ procurement																		→											
Pre-fab																			→										
Ship arrival																				V									
Installation																					→								
Pre-commissioning																						→							
Ship departure																							V						

Source: Company data, Korea Investment & Securities

5. Digital solution: Integrated control service

Digital solution offers information integrated control service for ship operations

The digital solution division offers services that integrate and control the various information needed to run ships. It is basically a software subscription service. The main objective is to closely monitor the operational status of ships, optimize routes to reduce fuel consumption and provide solutions to cut emissions in specific maritime regions (OceanWise). The company is expanding its client base from ship owners taking delivery of ships built by the Big 3 shipyards to include owners of ships already in operation.

Orders being converted into revenue, but new contracts are being signed even faster

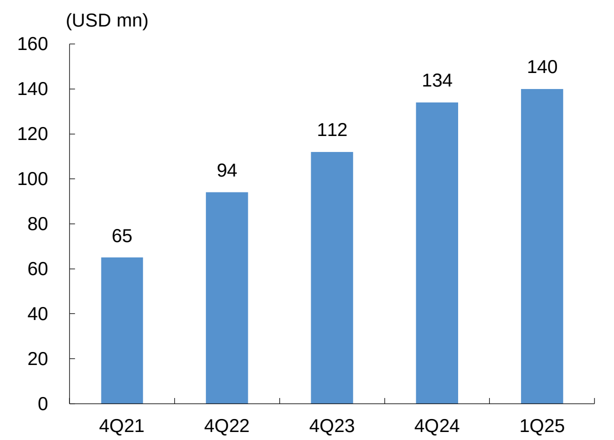
We peg the digital solution segment's annual revenue at KRW80bn (+13.2% yoy) and OP at KRW9.6bn (+12.9% yoy, OPM +12%) in 2025. Our revenue estimate was derived by applying the moving CAGR of the past three years while the OP estimate assumes of a low-teen OPM. As of end-4Q24, the orders backlog for digital control amounted to USD134mn and the number of contracts for OceanWise totaled to 454. As customer base (ships) continues to expand, new contracts are being signed faster than orders are translated into revenue.

Table 11. Digital solution revenue estimates

		Unit	2021A	2022A	2023A	2024A	2025F	2026F	2027F
Digital solution	Revenue	KRW bn	49	45	62	71	80	97	112
	Growth, yoy	% yoy		(6.9%)	37.3%	13.5%			
	3yr-moving CAGR	% yoy					13.2%	20.9%	15.8%

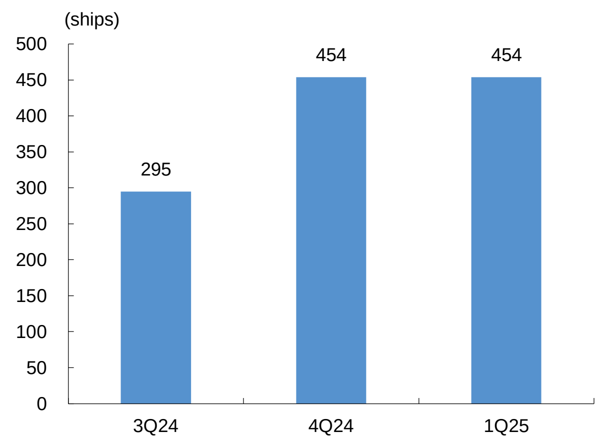
Source: Company data, Korea Investment & Securities

Figure 48. Digital control orders backlog



Source: Company data, Korea Investment & Securities

Figure 49. Orders placed at OceanWise



Source: Company data

III. Investment point

1. Overhang to disappear, transactions to flow

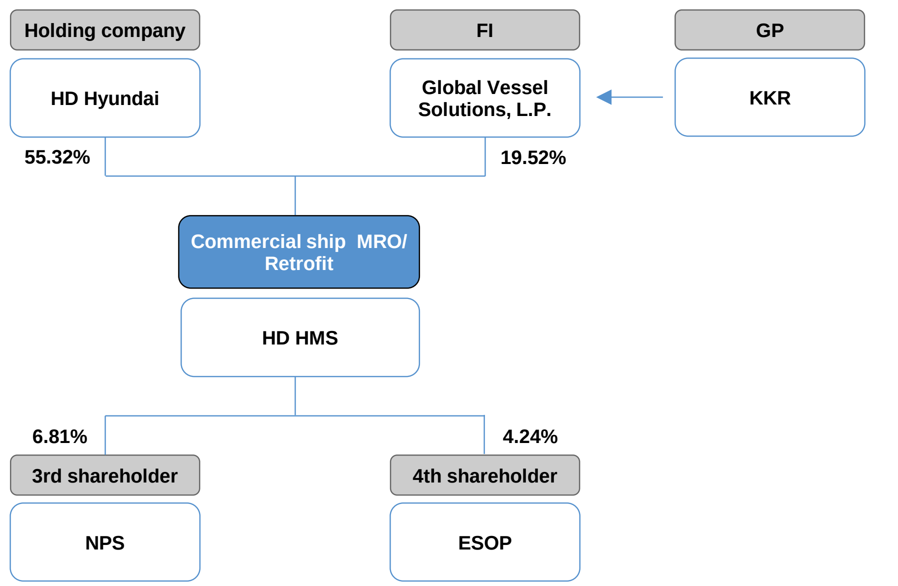
Investment point 1: Easing overhang volume

Overhang should gradually disappear. The common stock overhang of HD HMS amounts to 8,750,000 shares, representing 19.5% of the common shares outstanding. The entire overhang volume is currently held by the firm's second-largest shareholder, Global Vessel Solutions, a private equity fund (PEF) that has KKR as GP. The mandatory lock-up period after listing expired on November 7, 2024, and on February 25, this year, 2,000,000 shares out of the initial 10,750,000 shares held by the second-largest shareholder were sold off in an off-hour block trade.

Share price slips amid overhang volume unloads may offer BUY chances

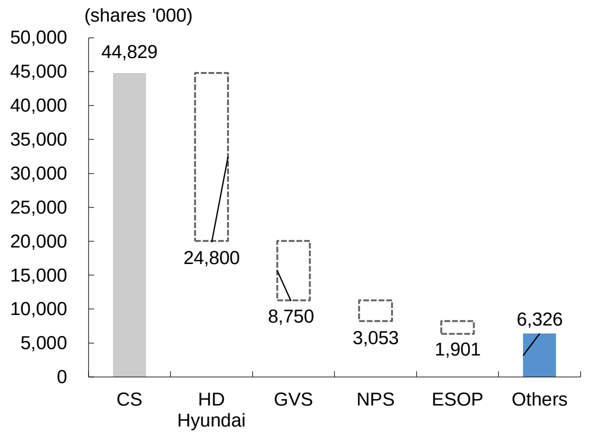
When the overhang shares are released, the point at which the share price mechanically drops, a BUY opportunity will be presented. The remaining shares held by the second-largest shareholder are expected to be released in four to five separate block trades. Since the company is now in a phase where both earnings and dividends are growing, the PEF would most likely favor to benefit from the ownership value for a long period of time, meaning the possibility of share price shocks from block trades is low, as the sell-offs are expected to be carried out gradually over time. As overhang volume lightens, stock transactions would likely be boosted as well, which is a pro to the share price. Currently, the floating shares in the market represent only 16% of the total shares outstanding, with the daily trading volume barely exceeding 100,000 shares. Overhang releases could potentially meet buying demand arising from benchmark funds at home and abroad following the stock's inclusion to national and sectoral indices, as well as demand from investors who could not overweight on the stock due to limited transactions in the market despite their high convictions in HD HMS.

Figure 50. HD HMS ownership structure



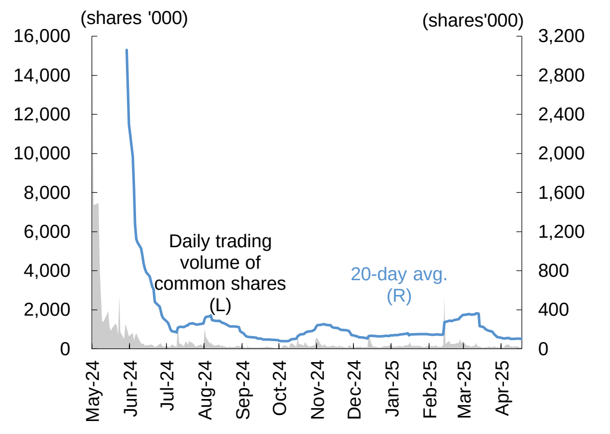
Note: 1) As of February 25, 2025 (when Global Vessel Solutions, L.P. sold 2,000,000 shares at KRW147,500 per share); 2) Ownership of HD Hyundai and NPS and treasury stocks as of December 31, 2024
Source: DART, Korea Investment & Securities

Figure 51. Common shares breakdown by shareholder: 'Others' accounts for 14%



Note: GVS held shares as of February 25, 2025; The rest as of December31, 2024
Source: DART, Korea Investment & Securities

Figure 52. Only ~0.2% of common shares outstanding traded daily in the market



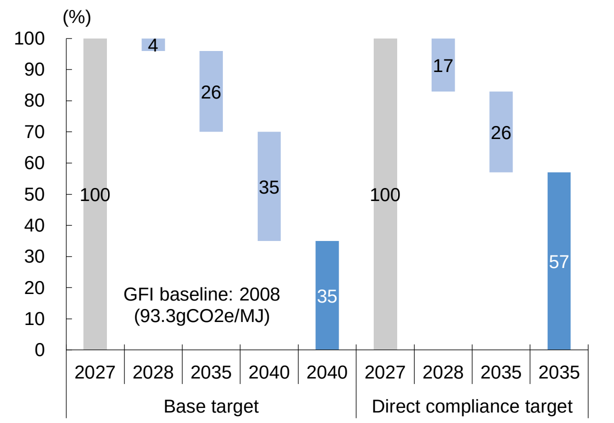
Note: Between May 8, 2024(IPO date)-May 2, 2025
Source: Quantiwise, Korea Investment & Securities

2. Retrofit demand for CO_2 emission reduction increasing

Investment point 2: Growth of green solutions

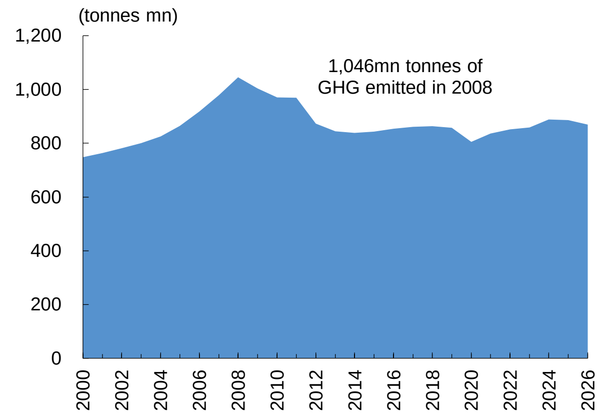
The first long-term investment point for HD HMS is the growth potential of the green solution segment. The demand for retrofitting existing vessels among shipowners is expected to surge around 2028. This is primarily due to the tightening of greenhouse gas emission regulations, which will soon reach a point where shipowners can no longer delay compliance. The year 2028 marks the enforcement of the amendment to Annex VI of MARPOL, agreed upon at the 83rd MEPC session. Starting from 2028, shipowners will be required to pay carbon taxes based on their greenhouse gas fuel intensity (GFI) tier if their emissions exceed the set limits. This regulation is expected to drive newbuild demand to replace existing ships, especially among tankers, feeder container ships, and bulk carriers. The problem is that shipbuilders lack available newbuild slots and that shipowners are now more hesitant to place orders to Chinese shipyards where orders for the above-mentioned ship types were usually placed. The current situation is reminiscent of the surge in scrubber retrofit demand seen around 2020 when sulfur oxide (SOx) emissions regulations extended beyond the Emission Control Area (ECA). With demand for CO_2 solution projects including conversions to dual-fuel increasing, the green solution segment should position as HD HMS' core business.

Figure 53. Mid-term GHG emission reduction target agreed at the 83rd MEPC session



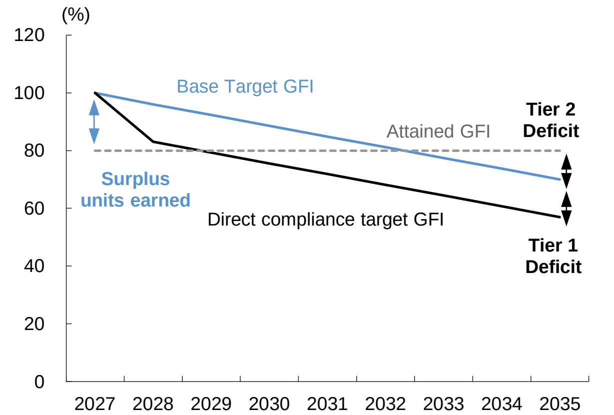
Source: Lloyd Register, Clarksons Research, Korea Investment & Securities

Figure 54. 2024 emissions down 15% from 2008 level : Direct compliance by 2028 to be achievable after amendment took effect



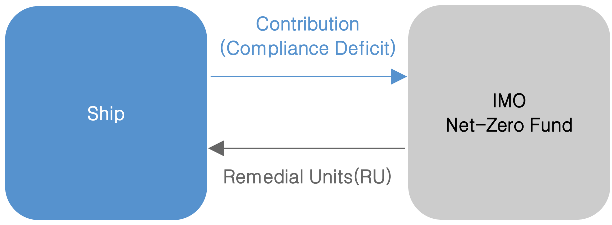
Note: As of May 2, 2025
Source: Clarksons Research, Korea Investment & Securities

Figure 55. IN case of base target miss: Tier 1 RU, USD100/tonne + Tier 2 RU, USD380/tonne



Source: Lloyd Register, Clarksons Research, Korea Investment & Securities

Figure 56. Remedial units (RU) issued for donations to IMO Net-Zero Fund



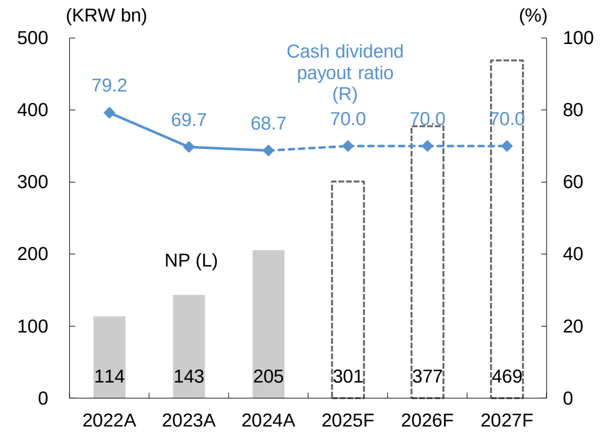
Source: International Maritime Organization (IMO), Korea Investment & Securities

3. Strong profit-making capability, leading to larger resources for shareholder returns

Investment point 3: Large dividend appeal

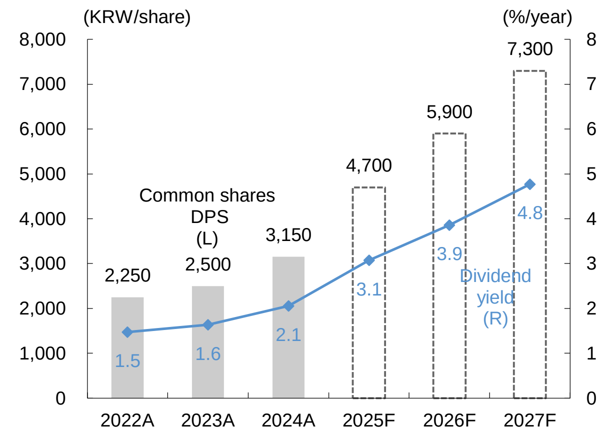
Another long-term investment point lies in the firm's strong dividend appeal. For the next three years, HD HMS' NP is projected make yoy climb of 32%, 25.4% and 24.2%, respectively. Investors must note that the firm's shareholder return policy targets payout ratio range of 50%-70%, and the current payout ratio range has neared the upper end of that historic range. Currently, the dividend for common stock in 2025 is estimated to be KRW4,700 (KRW 700 in 1Q25, KRW 4,000 in end-2025) and if purchased at the closing price of KRW153,000 on May 2, the dividend yield would amount to 3.1%. However, the yield could go as high as 4.8% given that resources for dividend distribution are generally expanded alongside NP growth. As substantial upside potential exists for earnings due to probable new orders in the green solution segments the resources for dividend could expand even further. This presents a safe opportunity to benefit from both share price upturn and rising dividend yield.

Figure 57. Annual NP and cash payout ratio



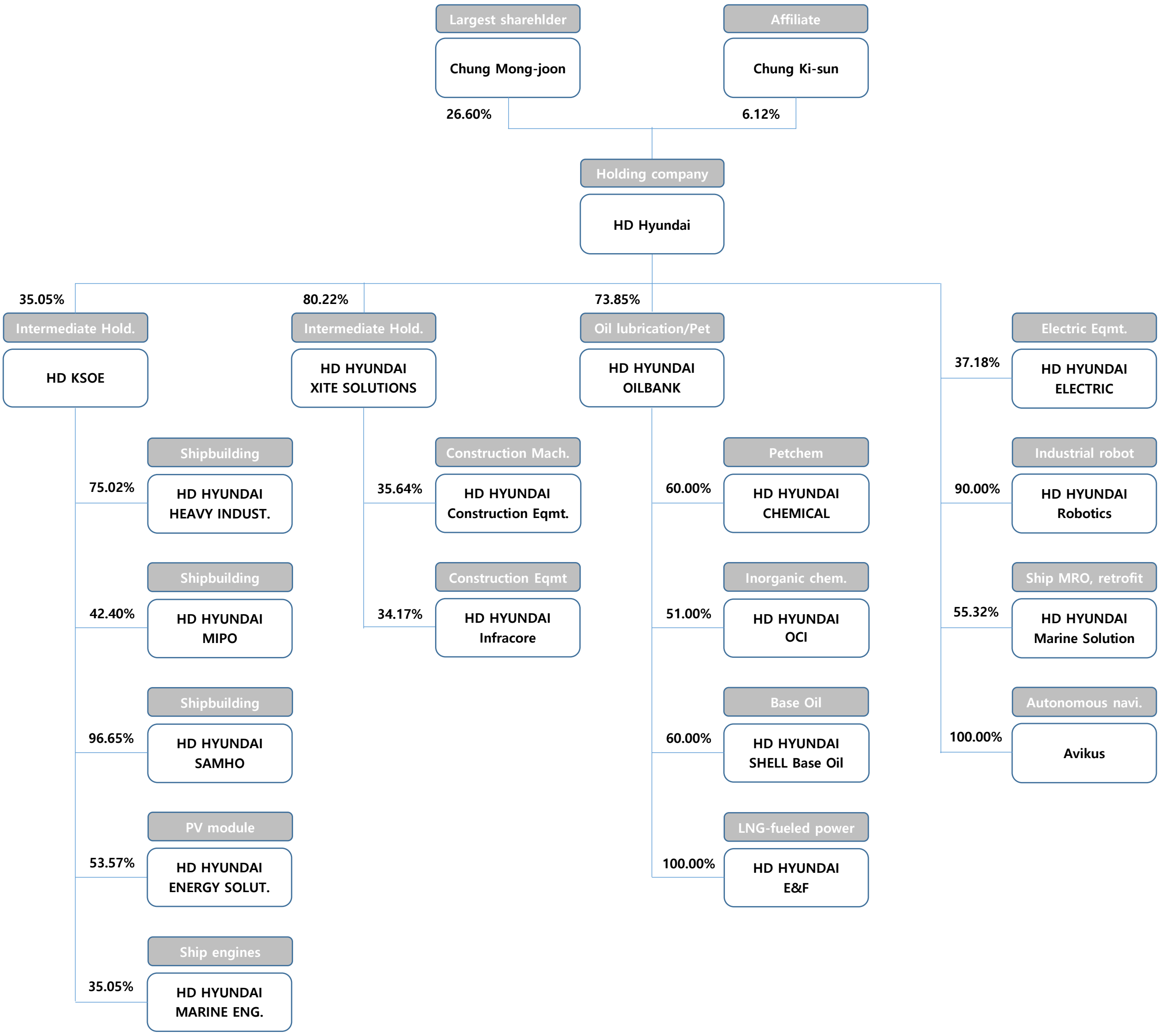
Note: Separate data
Source: DART, Korea Investment & Securities

Figure 58. Dividend for a common share and dividend yield



Note: Dividend yield assumes share acquisition price as of May 2 close (KRW153,000)
Source: DART, Korea Investment & Securities

Figure 59. HD Hyundai Group governance



Note: As of end-2024
Source: DART, Korea Investment & Securities

Appendix. Peer study

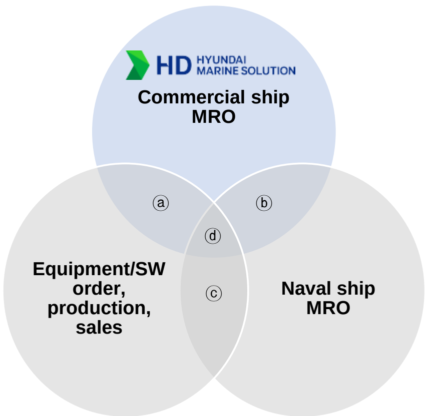
Valuation peers: Wartsila, Alfa Laval, Kongsberg

We selected three global peers for valuation benchmarking: Wartsila (Finland), Alfa Laval (Sweden), and Kongsberg (Norway). All three companies develop and sell marine-related equipment based on proprietary technology and also operate aftermarket (AM) service businesses. In terms of business composition, these peers are comparable to HD Hyundai Marine Solution, in the following order: Wartsila, Alfa Laval, and Kongsberg.

HD Hyundai Marine Solution, the only pure merchant marine MRO player

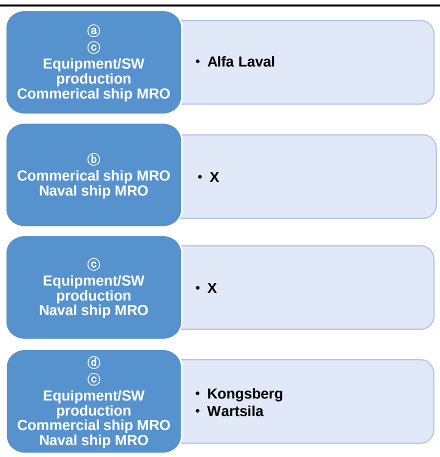
HD Hyundai Marine Solution is the only company exclusively focused on merchant marine MRO services. There is no direct one-to-one comparable peer. The key differentiator lies in the separation of equipment manufacturing and AM services. HD Hyundai Marine Solution's AM business model is built around servicing engines (marine and land-based) produced and delivered by HD Hyundai Heavy Industries' Engine & Machinery division. In contrast, peer companies primarily generate revenue from equipment or software sales, with AM services functioning as a supplementary revenue stream. These peers are also suppliers of key components—such as scrubbers—when HD Hyundai Marine Solution performs green retrofit projects.

Figure 60. MRO services for commercial vessels without in-house manufacturing



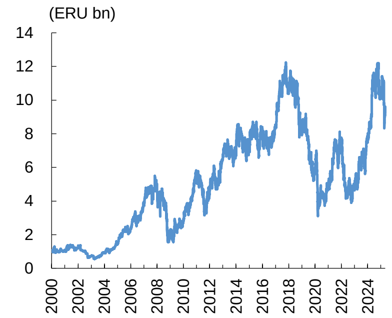
Source: Korea Investment & Securities

Figure 61. A unique business model



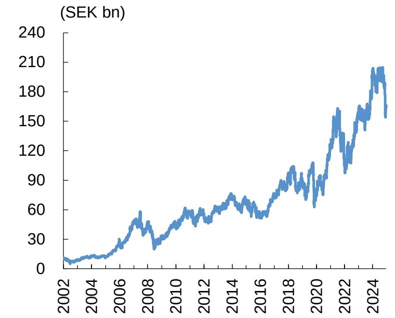
Source: Korea Investment & Securities

Figure 62. Wartsila market cap



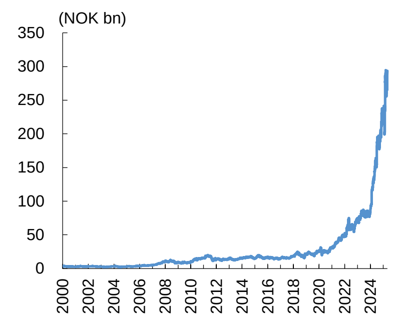
Note: Jan 2, 2000 – Apr 30, 2025
Source: Bloomberg, Korea Investment & Securities

Figure 63. Alfa Laval market cap



Note: May 17, 2002 – Apr 30, 2025
Source: Bloomberg, Korea Investment & Securities

Figure 64. Kongsberg market cap



Note: Jan 2, 2000 – Apr 30, 2025
Source: Bloomberg, Korea Investment & Securities

Wartsila (Finland): Manufacturer of four-stroke engines for ships and land-based power generation

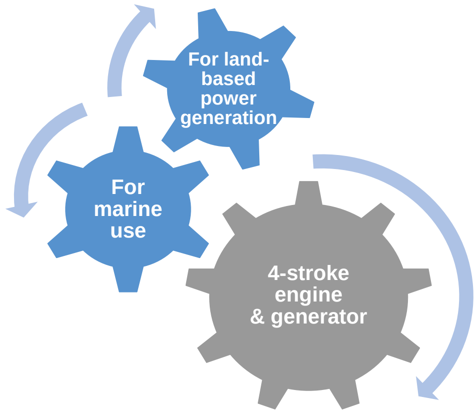
Wartsila, specialized in four-stroke engines

Wartsila focuses on manufacturing four-stroke engines. Among the products made by HD Hyundai Heavy Industries' Engine & Machinery business, the HiMSEN engine is most comparable in terms of use cases and service targets (marine and land-based power generation). Wartsila was also the original developer of WinGD, one of the two main licensors of two-stroke low-speed engines, but sold all its shares to China’s CSSC in June 2016 to concentrate solely on the four-stroke business.

Marine segment accounts for 47% of total sales in 2024

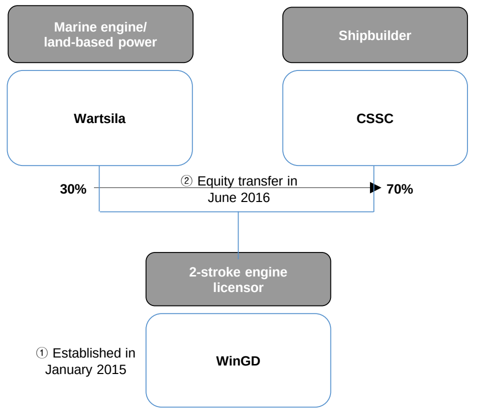
Wartsila’s comparable business to HD Hyundai Marine Solution is its Marine segment, which generated 47.3% of the company’s 2024 consolidated sales with an OPM of 11.9%. Wartsila manufactures and services four-stroke engines and related components (e.g., shafts), as well as various marine gas treatment systems such as scrubbers, BOG reliquefaction modules, and ballast water treatment systems (BWTS).

Figure 65. Specialized in four-stroke engines: HD Hyundai Heavy Industries’ HiMSEN business model



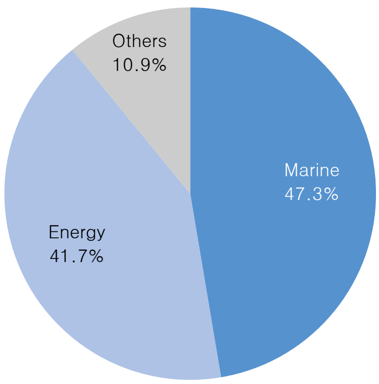
Note: Ownership ratios shown are based on initial stakes at the time of WinGD’s founding
Source: Korea Investment & Securities

Figure 66. Divested stake to CSSC and spun off WinGD; now focused on four-stroke engines only



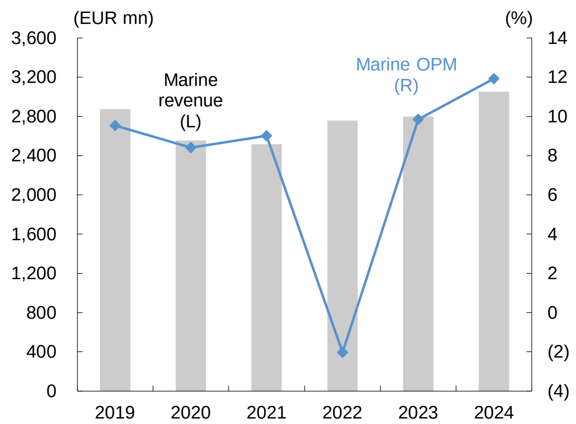
Note: Ownership ratios shown are based on initial stakes at the time of WinGD’s founding
Source: Bloomberg, Korea Investment & Securities

Figure 67. Revenue breakdown by business segment: Marine segment accounts for ~50%



Note: Based on 2024 annual revenue
Source: Bloomberg, Korea Investment & Securities

Figure 68. Marine segment revenue and OPM trends



Note: On a consolidated basis
Source: Bloomberg, Korea Investment & Securities

Alfa Laval (Sweden): Specialist in marine exhaust gas treatment systems and heat exchangers

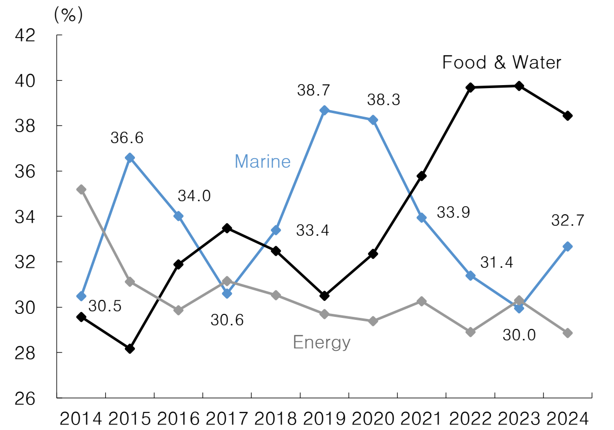
Alfa Laval, specialized in marine exhaust gas treatment and heat exchanger systems

Alfa Laval is a specialized manufacturer of marine exhaust gas treatment systems and heat exchangers. The company holds a dominant position in industrial centrifuges (separators), heat exchangers, and fluid handling systems. Its three business divisions are Food & Water, Marine, and Energy—based on the application of its proprietary technologies. The Food & Water segment is currently the largest revenue contributor.

Marine segment accounts for 33% of 2024 total sales

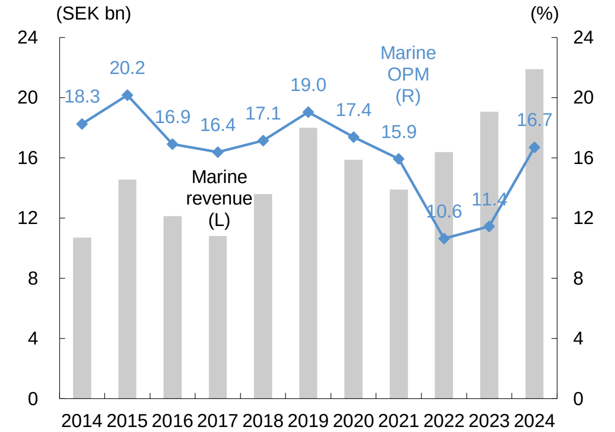
The Marine segment is the business segment that most closely corresponds to HD Hyundai Marine Solution. In 2024, 32.7% of consolidated revenue was generated by the Marine segment, which recorded an OPM of 16.7%. Its product lineup includes scrubbers, exhaust gas recirculation (EGR) water treatment systems for SOx and NOx reduction, and BWTS. It is also one of the suppliers used by HD Hyundai Marine Solution for sourcing equipment when performing eco-friendly ship retrofits.

Figure 69. Revenue mix by segment: Marine consistently over 30%



Source: Bloomberg, Korea Investment & Securities

Figure 70. Marine segment revenue and OPM



Source: Bloomberg, Korea Investment & Securities

Figure 71. Scrubber: PureSOx

Source: Alfa Laval

Figure 72. EGR water purification: PureNOx

Source: Alfa Laval

Figure 73. BWTS: PureBallast 3

Source: Alfa Laval

Kongsberg (Norway): Defense, aerospace, and marine systems manufacturer

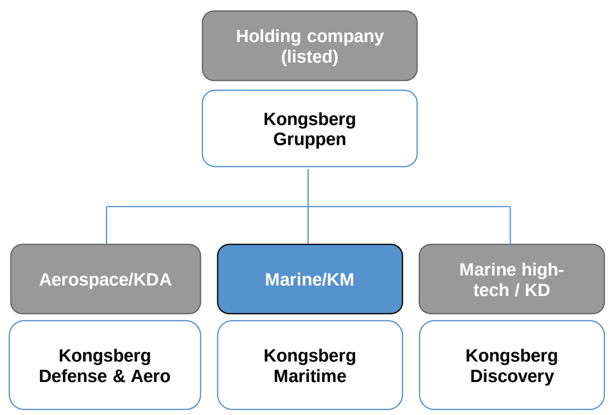
Kongsberg, a diversified business operator

Kongsberg is a diversified business group. Kongsberg Gruppen, listed on the Oslo Stock Exchange, operates as a holding company and runs three wholly owned subsidiaries: Kongsberg Defense & Aerospace, Kongsberg Maritime, and Kongsberg Discovery. These units cover defense and aerospace, marine, and high-tech marine solutions, respectively.

Marine-related subsidiaries accounts for 51% of the holding company's consolidated revenue

The business segment comparable to HD Hyundai Marine Solution is Kongsberg Maritime, a marine-focused subsidiary of the holding company.
In 2024, Kongsberg Maritime accounted for 50.7% of the holding company's consolidated revenue and recorded an OPM of 13.5%. The company specializes in ship automation, bridge systems, and dynamic positioning systems. Notably, Kongsberg's systems are adopted not only in commercial vessels but also in naval warships.

Figure 74. Listed holding company with subsidiaries operating core businesses

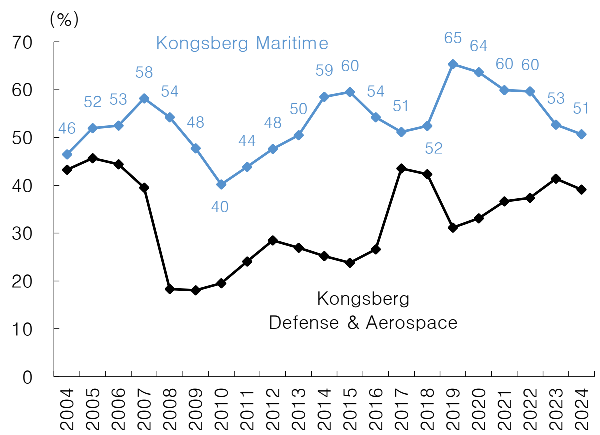


Source: Kongsberg, Korea Investment & Securities

Figure 75. Dynamic positioning system

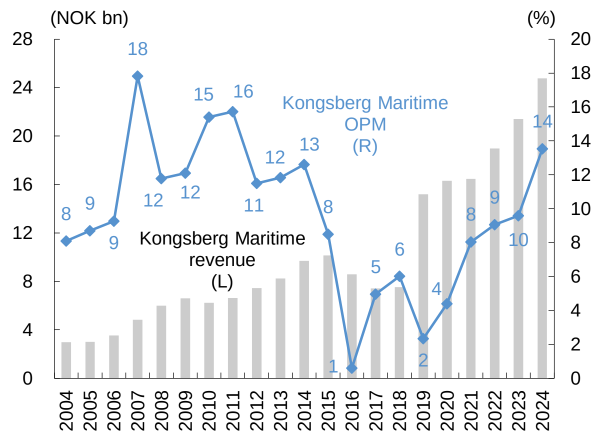
Note: K-Pos Dynamic Positioning Control System
Source: Konsberg Maritime

Figure 76. Revenue mix by business unit: Marine division makes up over half of consolidated sales



Note: Label indicates share of revenue for Kongsberg Maritime only.
Source: Bloomberg, Korea Investment & Securities

Figure 77. Kongsberg Maritime revenue and OPM: Steady margin improvement



Note: 2004-2024
Source: Bloomberg, Korea Investment & Securities

Income statement

(W bn)

	2023A	2024A	2025F	2026F	2027F
Sales	**1,430**	**1,745**	**2,151**	**2,328**	**2,567**
COGS	1,158	1,383	1,659	1,740	1,858
Gross profit	273	362	492	589	709
SG&A expenses	71	90	108	116	128
Operating profit	**201**	**272**	**384**	**472**	**580**
OP margin (%)	**14.1**	**15.6**	**17.9**	**20.3**	**22.6**
EBITDA	212	284	397	486	595
EBITDA margin (%)	14.8	16.2	18.5	20.9	23.2
Non-operating profit	0	25	17	31	45
Financial income	41	67	20	31	45
Financial expenses	41	39	1	1	1
Other non-operating profit	(1)	(3)	(3)	0	0
Gains (Losses) in associates, subsidiaries and JV	0	(0)	0	0	0
Earnings before tax	**201**	**297**	**401**	**503**	**625**
Income taxes	50	69	100	126	156
Consolidated net profit	151	228	301	377	469
Controlling-int. NP	**151**	**228**	**301**	**377**	**469**
Controlling-int. NP margin (%)	10.6	13.1	14.0	16.2	18.3
Growth (%)					
Sales growth	7.2	22.0	23.2	8.2	10.2
OP growth	41.9	34.9	41.5	22.9	22.8
Controlling-int. NP growth	44.0	50.8	32.0	25.4	24.2
EPS growth	44.0	40.4	26.5	25.4	24.2
EBITDA growth	41.6	34.1	40.1	22.4	22.4

Balance sheet

(W bn)

	2023A	2024A	2025F	2026F	2027F
Total assets	**657**	**1,152**	**1,424**	**1,547**	**1,711**
Current assets	597	1,076	1,325	1,435	1,582
Cash & cash equivalents	96	298	368	398	439
Accounts & other receivables	211	263	324	351	387
Inventory	238	273	337	365	402
Non-current assets	59	77	98	113	129
Investment assets	0	3	4	4	4
Tangible assets	11	20	28	36	45
Intangible assets	4	5	6	6	7
Total liabilities	**417**	**379**	**550**	**551**	**563**
Current liabilities	388	343	508	506	514
Accounts & other payables	146	184	227	245	270
ST debt & bonds	128	0	0	0	0
Current portion of LT debt	0	0	0	0	0
Non-current liabilities	29	36	42	46	50
Debentures	0	0	0	0	0
LT debt & financial liabilities	12	13	14	14	15
Shareholders' equity	**240**	**774**	**874**	**996**	**1,147**
Controlling interest	240	774	874	996	1,147
Capital stock	20	22	22	22	22
Capital surplus	20	385	385	385	385
Other reserves	1	30	30	30	30
Retained earnings	198	324	414	527	668
Minority interest	0	0	0	0	0
Net debt	50	(461)	(570)	(616)	(678)

Cash flow

(W bn)

	2023A	2024A	2025F	2026F	2027F
C/F from operations	**73**	**247**	**334**	**324**	**405**
Net profit	151	228	301	377	469
Depreciation	10	12	13	14	15
Amortization	0	0	0	0	0
Net increase in W/C	(97)	(6)	19	(67)	(79)
Others	9	13	1	0	0
C/F from investing	**5**	**(196)**	**(57)**	**(32)**	**(40)**
Capex	(3)	(10)	(21)	(22)	(23)
Decrease in fixed assets	0	0	0	0	0
Increase in investment	6	(186)	9	9	9
Net increase in intangible assets	0	(0)	(1)	(0)	(1)
Others	2	0	(44)	(19)	(25)
C/F from financing	**(44)**	**149**	**(208)**	**(262)**	**(324)**
Increase in equity	0	386	0	0	0
Increase in debt	(6)	(7)	3	3	3
Dividends	(90)	(100)	(141)	(211)	(264)
Others	52	(130)	(70)	(54)	(63)
C/F from others	(2)	3	0	0	0
Increase in cash	**32**	**203**	**69**	**30**	**41**
FCF	75	199	298	278	347

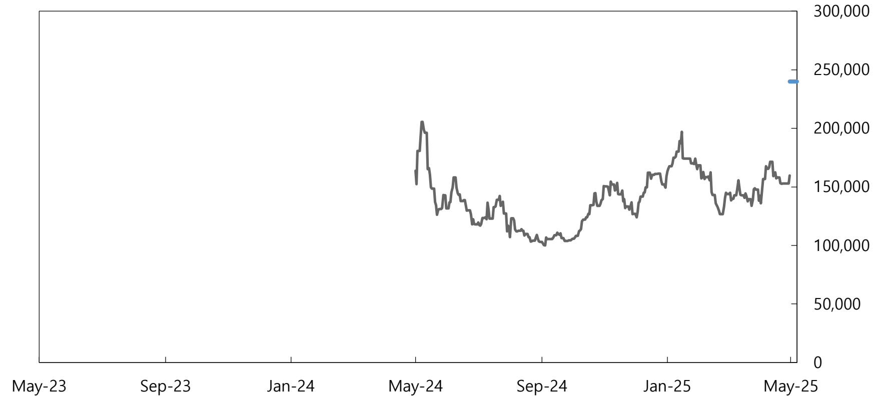
Note: K-IFRS (consolidated financial statements)

Key financial data

	2023A	2024A	2025F	2026F	2027F
Per-share data (KRW)					
EPS	3,778	5,304	6,712	8,417	10,456
BPS	5,999	17,255	19,486	22,221	25,595
DPS	2,500	3,150	4,700	5,900	7,300
Profitability (%)					
ROA	25.7	25.2	23.4	25.4	28.8
ROE	71.6	45.0	36.5	40.4	43.7
Dividend yield	NM	2.0	2.9	3.7	4.6
Dividend payout ratio	66.2	61.9	70.0	70.1	69.8
Stability					
Debt/equity (x)	173.6	49.0	63.0	55.3	49.1
Int.-bearing debt/equity (%)	60.8	2.7	2.7	2.7	2.6
Interest coverage (x)	32.7	59.8	316.6	343.8	378.2
Net debt/EBITDA (x)	0.2	(1.6)	(1.4)	(1.3)	(1.1)
Valuation (x)					
PE	NM	30.4	23.8	19.0	15.3
PE peak	NM	39.1	29.7	23.7	19.1
PE trough	NM	18.8	18.8	15.0	12.1
PB	NM	9.4	8.2	7.2	6.2
PB peak	NM	12.0	10.2	9.0	7.8
PB trough	NM	5.8	6.5	5.7	4.9
PS	NM	4.0	3.3	3.1	2.8
EV/EBITDA	NM	23.7	16.6	13.5	10.9

Changes to recommendation and price target

Company (Code)	Date	Recommendation	Price target	% vs. avg. price	% vs. high (low)
HD HMS (443060)	07-05-25	BUY	W240,000	-	-



■ **Guide to Korea Investment & Securities Co., Ltd. stock ratings based on 12-month forward share price performance relative to the market index**

- BUY: Expected to outperform the market index by 15%p or more
- Hold: Expected to underperform or outperform the market index by less than 15%p
- Underweight: Expected to underperform the market index by 15%p or more
- Korea Investment & Securities does not offer target prices for stocks with Hold or Underweight ratings.

■ **Guide to Korea Investment & Securities Co., Ltd. stock rating allocation (as of March 31, 2025)**

	BUY	Hold	Underweight (Sell)
Korea Investment & Securities Research Coverage*	78.8%	21.2%	0%
Korea Investment & Securities IB clients**	15.7%	10.3%	0%

Note: * Percentage of companies under coverage with this rating
** Percentage of subject companies within each of the "BUY," "Hold" and "Underweight (Sell)" category for which Korea Investment & Securities Co., Ltd. has provided investment banking services within the previous 12 months.

■ **Guide to Korea Investment & Securities Co., Ltd. sector ratings for the next 12 months**

- Overweight: Recommend increasing the sector's weighting in the portfolio compared to its respective weighting in the Kospi (Kosdaq) based on market capitalization.
- Neutral: Recommend maintaining the sector's weighting in the portfolio in line with its respective weighting in the Kospi (Kosdaq) based on market capitalization.
- Underweight: Recommend reducing the sector's weighting in the portfolio compared to its respective weighting in the Kospi (Kosdaq) based on market capitalization.

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truefriend **Korea Investment**
& Securities Co., Ltd.

HEAD OFFICE
DONG KIM, Head of Wholesale Solutions Division (dkim@koreainvestment.com, +822 3276 6298)
PAUL CHUNG, Sales Trading (pchung@koreainvestment.com +822 3276 5843)
27-1 Yeouido-dong, Youngdeungpo-gu, Seoul 150-745, Korea
Toll free: US 1 866 258 2552 HK 800 964 464 SG 800 8211 320
Fax: 822 3276 5681~3
Telex: K2296

NEW YORK
HOON SULL, Managing Director (hoonsull@kisamerica.com +1 212 314 0686)
PAUL CHOI, Sales (paulchoi@kisamerica.com +1 212 314 0683)
Korea Investment & Securities America, Inc.
1350 Avenue of the Americas, Suite 1602
New York, NY 10019
Fax: 1 212 314 0699

HONG KONG
GREGORY KIM, Sales (greg.kim@kisasia.com, +822 2530 8915)
Korea Investment & Securities Asia, Ltd.
Suite 3716-19, Jardine House
1 Connaught Place, Central, Hong Kong
Fax: 852-2530-1516

SINGAPORE
ALEX JUN, Managing Director, Head of Singapore Sales (alex@kisasia.com.sg +65 6501 5602)
HYUNAH JO, Sales (hyunah@kisasia.com.sg +65 6501 5601)
Korea Investment & Securities Singapore Pte Ltd
1 Raffles Place, #43-04, One Raffles Place
Singapore 048616
Fax: 65 6501 5617

LONDON
MIN SUK KEY, Managing Director (peterkey@kiseurope.com +44 207 065 2766)
Korea Investment & Securities Europe, Ltd.
The Old Rectory, 29 Martin Lane
London, England, EC4R 0DJ
Fax: 44-207-236-4811

VIETNAM
WON SANG PARK, CEO (wspark@kisvn.vn +84-28-3821-1342)
HUN WOO LEE, Head of Sales (ehunul@kisvn.vn +84-28-3821-1340)
KIS Vietnam Securities Corporation
3rd floor, TNR Tower, 180-192 Nguyen Cong Tru Street, District 1
HCMC, Viet Nam
Fax: 84-28-3821-6898

INDONESIA
SAM SONG, CEO (sam.song@kisi.co.id +62 21 2991 1999)
JAY HONG, Head of Sales (jay.hong@kisi.co.id +62 21 2991 1999)
Korea Investment & Sekuritas Indonesia.
Equity Tower 9th Floor, JI.Jend Sudirman Kav. 52-53
Jakarta 12190, Indonesia
Fax: 62-21-2991-1999
